

Accountability in the Technocratic State: Public Opinion and Regulatory Enforcement in Antitrust

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Abstract

How does democratic accountability operate in technocratic domains with weak partisan cues? I study this question through antitrust enforcement — a domain governing trillions in economic activity yet rarely central to partisan debate. Using a survey experiment, I show citizens form coherent merger preferences from economically intuitive cues: deal size, industry overlap, and familiarity. Notably, revealing well-known brands increases support for government intervention, suggesting familiarity serves as a heuristic for corporate power rather than generating leniency. Decisions aligned with respondent preferences increase confidence in antitrust agencies and presidential approval; enforcement failures reduce both. Complementing the experimental evidence, I construct an original dataset linking Hart-Scott-Rodino reviews 2001-2020 to financial and brand data, showing that agency enforcement tracks these same dimensions. Together, the results show democratic accountability can reach technical domains where partisan cues offer little guidance, while identifying familiarity as a previously unrecognized dimension shaping both public opinion and enforcement patterns.

KEYWORDS: democratic accountability; voter competence; antitrust; corporate consolidation; business & politics

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Introduction

Democratic accountability rests on a deceptively simple premise that voters can observe what government does and hold officials responsible for it. In practice, much of what government does happens far from the electoral arena, in regulatory agencies and administrative bodies staffed by technical experts and specialists making complex discretionary decisions that have major implications for voters' welfare. These institutions often justify their authority on the basis of expertise and neutrality rather than partisan contestation, insisting that public judgment is therefore beside the point (Wilson (2019), Carpenter and Krause (2015)). Yet public opinion can be perceptive and revealing. For example, research shows that citizens are able to detect ideological shifts in the Supreme Court despite its claims of legal neutrality (Jessee et al. (2022)). The problem is sharpest when decisions are highly technical, and partisan cues are weak or ambiguous. In these domains, the informational shortcuts that typically aid political judgment — party labels, ideological signals, elite or interest group endorsement — offer little guidance (e.g. Converse (2006), Lupia and McCubbins (1998), Lenz (2012), Achen and Bartels (2017)). Whether citizens can evaluate government performance under these conditions is a foundational question for democratic theory that remains unresolved (Dahl (1961)).

Mergers and acquisitions (M&A) are among the most consequential forces shaping the structure of modern economies, and how government responds to them has direct implications for democratic accountability. Every year, US companies engage in M&A worth over two trillion dollars in total.¹ These events reshape markets and by extension, the everyday economic life of ordinary people. A large body of empirical research links rising consolidation to higher prices, reduced quality of goods and services, diminishing innovation, increasing monopsony power over workers, as well as increasing political influence (e.g. De Loecker et al. (2020), Stavins (2001), Cunningham et al. (2021), Autor et al. (2020), Callander et al. (2022)). These are not abstract shifts: they register in the grocery bills, healthcare costs, and job options that citizens encounter repeatedly. When government acts or fails to act on corporate consolidation, such decisions send a signal about whose interests the state is willing to protect, with plausible consequences for how citizens evaluate government performance and the officials responsible for it.

However, the institutions charged with overseeing M&A, the Federal Trade Commission (FTC) and the Department of Justice's (DOJ) Antitrust Division, have operated at the margins of public attention since the 1970s. Antitrust has been treated as a bipartisan,

¹Estimates are my calculations based on LSEG SDC Platinum records.

technocratic domain governed by economic and legal expertise, with debates confined largely to specialists (e.g. Kovacic and Fox (2003), Crane (2007)). Unlike healthcare or taxation, it generates no stable partisan coalition and provides citizens with few ideological anchors for evaluating agency behavior. Antitrust thus becomes a particularly revealing setting for a fundamental question in democratic governance: whether accountability can reach a technical domain where partisan cues offer little guidance.

In this paper, I examine this question through the lens of antitrust enforcement. Using an original survey experiment, I study which features of merger transactions lead citizens to support government intervention, and how regulatory outcomes shape public confidence in enforcement agencies and elected officials. Complementing the experimental evidence, I construct an original dataset linking two decades of Hart-Scott-Rodino (HSR) premerger reviews² to financial and brand data to examine whether agency enforcement patterns track public intuitions. Together, the two approaches allow me to assess not only whether citizens form coherent preferences in this domain, but whether those preferences connect to real regulatory behavior.

The survey experiment reveals that citizens form coherent, economically sensible preferences over antitrust enforcement. Support for government intervention increases sharply with deal size and industry overlap between the merging parties, both standard indicators of anticompetitive risk. More strikingly, revealing that a firm owns well-known brands substantially increases support for blocking the transaction: rather than generating leniency toward familiar companies, brand recognition serves as a heuristic for corporate market power and scale. These preferences carry direct accountability consequences. When agency decisions align with respondent preferences, confidence in the FTC and DOJ rises; enforcement failures — whether approving a harmful merger or losing a block attempt in court — produce significant declines. These patterns extend to presidential approval, suggesting antitrust enforcement decisions carry electoral implications beyond the agencies themselves and that voters are able to attribute agency decisions to the political principal responsible.

Public preferences are generally reflected in agency behavior. Utilizing the rules of the HSR process where transactions meeting certain criteria need to file with the FTC and DOJ before consummating the merger, I build a dataset linking HSR actions³ to financial and brand data.

²Hart-Scott-Rodino Antitrust Improvements Act of 1976: <https://www.ftc.gov/legal-library/browse/statutes/hart-scott-rodino-antitrust-improvements-act-1976>. The main change this piece of legislation installed was mandating, for certain transactions, the merging parties to file with the FTC and DOJ, wait for the agencies to review before executing the transaction. This gives the government agencies a chance to intervene in a harmful corporate consolidation ex-ante.

³By taking action, I mean that FTC or DOJ either issued consent orders for public comment, or initiated administrative or federal court litigation. Throughout the paper, I use terms such as “action”, “flag”

I find that the FTC and DOJ are more likely to challenge large, same-industry transactions, and firms that own recognizable brands attract greater scrutiny. The effects of brands are more prominent among large or same-industry transactions. This result is especially meaningful since block attempts are exceedingly rare, occurring in around 0.6-3.4% of eligible filings each year. One can reasonably assume that the agencies could have intervened more if allowed more time and resources (Bhattacharya et al. (2023)), but in reality need to make limited picks even among the more risky mergers. While the experimental and observational approaches differ in design and information environment, their convergence on the same underlying dimensions suggests a shared logic governing how both citizens and agencies evaluate corporate consolidation.

This paper advances our understanding of democratic accountability in technical domains where partisan cues are weak, showing that accountability need not require partisan anchors to operate. Rather than finding disengagement or incoherence, I show that citizens draw on multiple intuitive signals — scale, industry, familiarity — that together approximate the dimensions experts use to assess anticompetitive risk. When policy consequences are visible and frequently encountered in everyday life, citizens can make meaningful evaluations of seemingly obscure government decisions, suggesting that the reach of democratic accountability into the technocratic state may be wider than commonly assumed. The survey results further show that citizens distinguish between policy disagreement and enforcement failure, and that accountability extends to presidential approval. This suggests that regulatory performance carries electoral consequences even in domains far removed from partisan debate.

This paper brings antitrust into the study of political behavior and public opinion at a moment of renewed elite attention to competition policy. Despite governing trillions in annual economic activity, antitrust remains understudied in political science. Existing work examines what values and framings shift general public support for antitrust policy (Brutger and Pond (2025), Short et al. (2025)), but leaves open a more fundamental question: whether citizens can evaluate specific enforcement decisions on economic grounds and hold agencies accountable for outcomes. This paper answers that question directly, providing the first systematic evidence linking citizen preferences over individual merger decisions to both electoral implications and real agency enforcement patterns. It also introduces familiarity as a previously unrecognized dimension shaping both public opinion and bureaucratic behavior, with broader implications for how visibility influences regulatory enforcement across domains

interchangeably. The universe of these actions are taken from FTC and DOJ cases and proceedings, available on their websites. Both agencies denied my FOIA requests on the grounds that transaction level information was meant to be proprietary and private. Scraping the agency websites and building the data myself is to my knowledge the best bet at getting a comprehensive, workable dataset.

— whether such patterns hold in other technical domains or policy areas with stronger partisan cues is worth further investigation. The mirroring pattern between public preferences and agency behavior contributes to the literature on democratic responsiveness, raising new questions about the channels through which public opinion shapes regulatory enforcement even without direct electoral mechanisms. Today, these questions carry particular urgency. Antitrust is resurfacing as a political issue, with legal scholars and policymakers calling for reforms⁴, and the unprecedented firing of the Democratic FTC commissioners in March 2025 signaling a growing partisan divide among political leaders⁵. Understanding how the public evaluates corporate consolidation and government enforcement can help agencies communicate more effectively, justify their decisions, and design institutional practices that sustain public trust in economic policy and regulation.

1 Public Opinion without Partisan Anchors

Decades of research in public opinion and voter competence suggest that forming meaningful policy preferences requires both knowledge and interest that average citizens often lack (Lupia (2016), Carpini and Keeter (1996), Campbell (1980)). Researchers argue that individuals rely on shortcuts based on ideological alignment to simplify such tasks: for instance, an imperfect proxy would be partisan-based alignment (Downs (1957), Sniderman et al. (1991), Converse (2006)). Even then, voters might not hold ideologically coherent positions across issues, and their expressed preferences frequently shift with context or elite cues (Achen and Bartels (2017), Lenz (2012)). In other words, voters might not have “ideology”, defined by Kinder and Kalmoe (2017) as an abstract system of consistent beliefs, but rather, voters have partisan identities that help sort policy views into left and right buckets or encourage them to adopt certain kind of views (Leeper and Slothuus (2014)). Such reliance on party cues could lead to biases even among the more attentive and educated voters (e.g. Dancy and Sheagley (2013)). Previous studies have found that factors such as political knowledge, issue salience, and information environment — essentially either educating voters or calling voters’ attention to a specific issue — could moderate the effect of party cues (e.g. Popkin (1991), Gilens and Murakawa (2002), Slothuus and De Vreese (2010), Boudreau and MacKenzie (2014), Peterson (2017)). Another strand of literature, on the other hand, argues that even with more information, sometimes voters do not overcome partisan cues (e.g. Rahn (1993),

⁴For example, see <https://www.americanbar.org/content/dam/aba/publications/antitrust/journal/84/3/finding-common-ground-among-antitrust-reformers.pdf>.

⁵See a summary of the timeline here: <https://www.epi.org/policywatch/firing-ftc-commissioners/>.

Kalla and Broockman (2018)).

When it comes to economic policies, a different dimension of voter sophistication becomes relevant: apart from general political knowledge, voters might need basic understanding of economic principles, and depending on the context, more specialized information. Prior research in political science is generally more concerned with changes in personal or national economic condition as a way to judge the competence of political leaders (e.g. Kramer (1971)). The vagueness and complexity of this question naturally invite noisy voter perceptions and responses, as Louis Uchitelle summarized (quoted in Achen and Bartels (2017)): “[...] If the economy is flourishing in the final weeks of a campaign, when the music stops, the incumbent is likely to be re-elected.”⁶ Researchers have also studied how voters evaluate specific policies in trade, taxation, and welfare. These studies tend to explore how additional information or experience can shift voters’ support, and to what extent these shifts are more compatible with a rational agent’s self-interest. For example, Rho and Tomz (2017) show how most voters misunderstand consequences of protectionism and can update their preferences after they are exposed to information. Bartels (2005) demonstrates that voters fail to understand the implications of tax cuts and hence support tax cuts for the wealthy. Stantcheva (2021) finds that respondents primarily evaluate taxation policies through the lens of social preferences that are highly correlated to partisan identifications. Margalit (2013) shows that voters experiencing economic hardship are more supportive of welfare policies, though such effects are short-lived. Nall (2025) finds that the public skepticism on housing supply is unstable, and often induced by personalized market interactions and naive beliefs about high housing prices.

Antitrust enforcement presents a connected yet different configuration. Individual enforcement decisions are highly technical and discretionary, yet partisan signals surrounding these decisions are often weak or ambiguous. In such settings, it is not obvious ex-ante how citizens should process information or which aspects of these economic activities they would find most concerning. While the technical complexity of antitrust could limit meaningful evaluation, enforcement decisions also regulate a range of very visible market outcomes — prices, products, businesses — that citizens encounter repeatedly in everyday life. These interactions are high-frequency and relatively more accessible, compared to economic policies that shape citizens’ lives through episodic or infrequent financial decisions.

Moreover, weak partisan cues leave open fundamental questions about accountability. Without clear party signals, it is unclear how citizens evaluate regulatory outcomes, whether they

⁶Are Elections Too Much Like Musical Chairs? <https://archive.nytimes.com/campaignstops.blogspot.com/2012/04/12/are-elections-too-much-like-musical-chairs/>

distinguish between policy disagreement and enforcement failure, or how they assign responsibility to agencies and elected officials.

In this context, citizens might turn to alternative anchors for evaluating corporate power. One natural candidate is familiarity — the recognizability of firms and brands through everyday experience in the economy that can serve as an intuitive shortcut for corporate scale and market presence. Familiarity is theoretically ambiguous: brand recognition could heighten concern about corporate power and prompt demand for greater scrutiny, or it could generate leniency through the positive associations that repeated exposure tends to produce.

2 The Politics of Antitrust

Antitrust as a policy domain originates from a prominent, divisive political contest between capital and labor. The “trust” in antitrust refers to corporate trusts such as the Standard Oil Trust that could dominate an entire industry, control prices, and bend markets to their will. Trusts were or aspired to be monopolies: by concentrating power in the hands of a capable few, they claimed that they could save the US economy from ruinous competition and make production more efficient and innovation more rapid than ever.

The public and policymakers, however, did not agree. The Trust Movement was accompanied by a growing dissatisfied middle class and an explosion in economic inequality. By the early 1900s, antitrust had become a prominent political issue, championed by the “Trustbusters”. Presidents such as Theodore Roosevelt, William Taft, and Woodrow Wilson campaigned on breaking up monopolies, framing concentrated corporate power as a political and moral threat to democracy itself. From the groundbreaking Northern Securities case to the Federal Trade Commission Act that created the FTC, Trustbusters once stood at the center of American politics. Antitrust enforcement during this time was often framed as part of a broader struggle over economic equality and the proper limits of private corporations. Louis Brandeis, who later became Woodrow Wilson’s advisor and then nominated to the Supreme Court, articulated a moral and democratic rationale for limiting corporate scale, warning that “the curse of bigness” threatened not only competition but also the freedom and liberty of every citizen.⁷

Over the course of the twentieth century, antitrust gradually shifted from a popular cause to a domain of expert judgment. Beginning in the 1960s, law and economics scholars, many of

⁷See summary of Brandeis’s argument in articles such as <https://orionmagazine.org/article/the-curse-of-bigness/>.

whom were associated with the University of Chicago, recast competition policy as a question of efficiency, and a narrowly defined issue of consumer welfare, centered primarily on prices (e.g. Stigler (1983), Bork (1978), and Posner (1976)). This framework prioritized measurable economic outcomes and sought to make enforcement more rigorous and predictable, but in doing so, it de-emphasized the political dimensions. By the early 2000s, antitrust had largely faded from the public agenda, treated as a specialized policy domain rather than a political battleground. Enforcement decisions came to rely heavily on economic analysis that few outside the expert community could meaningfully engage with. Yet as corporate consolidation accelerated and a handful of firms came to dominate technology, media, and healthcare, the same questions once thought to be settled have returned: what makes a merger more harmful than others, how much concentration is too much, and who gets to decide.

In recent years, antitrust began to move toward the political center stage again. Wu and Cashman (2018) draw the comparison between the contemporary times and the early 1900s in terms of high level of corporate consolidation, increasing economic inequality, and lack of proper government oversight in the private sector. Such views are echoed by Joe Biden’s FTC Chair Lina Khan, who has criticized the oversimplification of analyzing merger outcomes in the framework of consumer welfare and myopic price effects (Khan (2016)).

Aggregate records on the Hart–Scott–Rodino (HSR) merger review process since 2001 indicate that antitrust enforcement occurs at consistently low rates across administrations.⁸ They point to a relatively stable enforcement environment, echoing the former FTC commissioner Thomas B. Leary: “*There really is no such thing as a ‘Republican’ or a ‘Democratic’ antitrust agenda today. People may have different views on the facts of individual cases for a variety of reasons, but there is a broad mainstream consensus on the basic approach to antitrust issues.*”⁹ Each year, the FTC and DOJ issue Second Requests (a request for further information before merging parties could consummate the deal) for around 1.5% to 4.5% of eligible HSR filings every year, and attempted to block around 0.6% to 3.4%.¹⁰ Figure 1 shows that although enforcement intensity fluctuates over time — reflecting economic conditions, composition of cases received, agency capacity — there are no sharp or persistent shifts in enforcement rates associated with changes in presidential administration. Figures 2 and 3 show the breakdown by agency.

This pattern complicates the common portrayal of antitrust enforcement as a straightforward

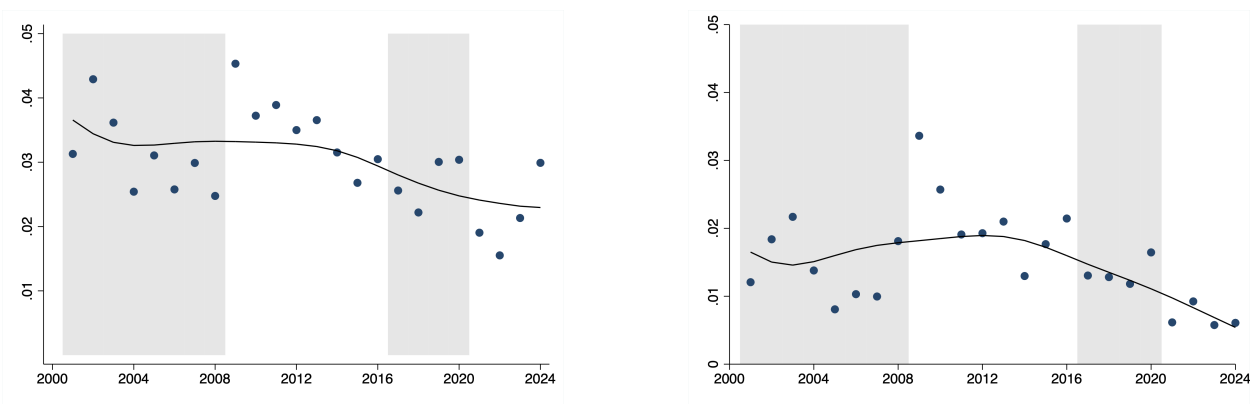
⁸For institutional details on the HSR process, see Appendix A.

⁹<https://www.tulanelawreview.org/pub/volume80/issue2/the-bipartisan-legacy>.

¹⁰Specifically, attempts to block here refer to cases where the agencies issue consent orders for public comment, as well as cases where the agencies initiate administrative or federal court litigation.

partisan problem, with Democratic administrations presumed to be more interventionist and Republican administrations more permissive. For instance, despite widespread expectations of more aggressive enforcement under the Biden administration, the aggregate rate of Second Requests and block attempts does not display a pronounced increase. Instead, recent years show a modest decline, prolonging the downward trend since the mid-2010s. Statements from FTC, along with a higher share of transactions abandoned or restructured before agencies formally challenge the merger proposals — see Figure OA5 in Appendix C — could suggest a change in tactics, though the descriptive pattern alone is not conclusive enough to determine agency efficiency.¹¹

Figure 1: Overall Rate of Second Requests (left) and Block Attempts (right) by FTC and DOJ, Fiscal Years 2001-2024



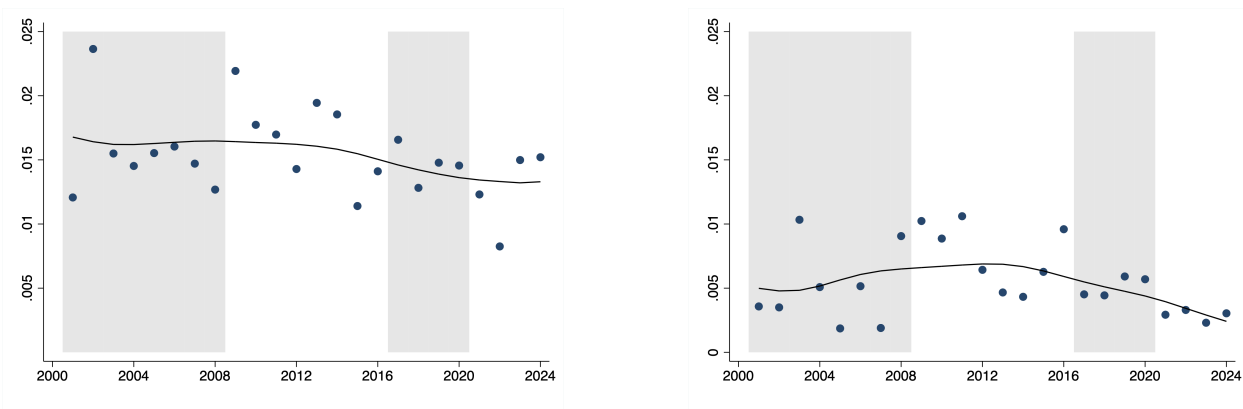
Notes: Graph areas shaded by partisanship of the sitting president.

The lack of partisanship in enforcement decisions could also be by design. The FTC Commissioner Board, notably, is set up in a way that encourages partisan balance: there are in total five Commissioners, among which at most three could be from the same party. This essentially ensures that the partisan split is at most 3-2. Each commissioner is nominated by the President and confirmed by the Senate, and serves a staggered seven-year term, which helps insulate the agency from short-term political pressures and presidential turnover. There have also been cases where a president echoes his predecessor’s nomination, further suggesting independence from partisan labels in antitrust matters: some examples are Jon Leibowitz, first nominated by GW Bush, later by Obama; Rebecca Kelly Slaughter, first nominated by Trump during his first presidency, later by Biden¹².

¹¹The FTC attributes these abandonments to its enforcement actions, but this claim cannot be independently verified. Merging parties can abandon transactions for reasons unrelated to regulatory pressure, such as changing market conditions or financing constraints.

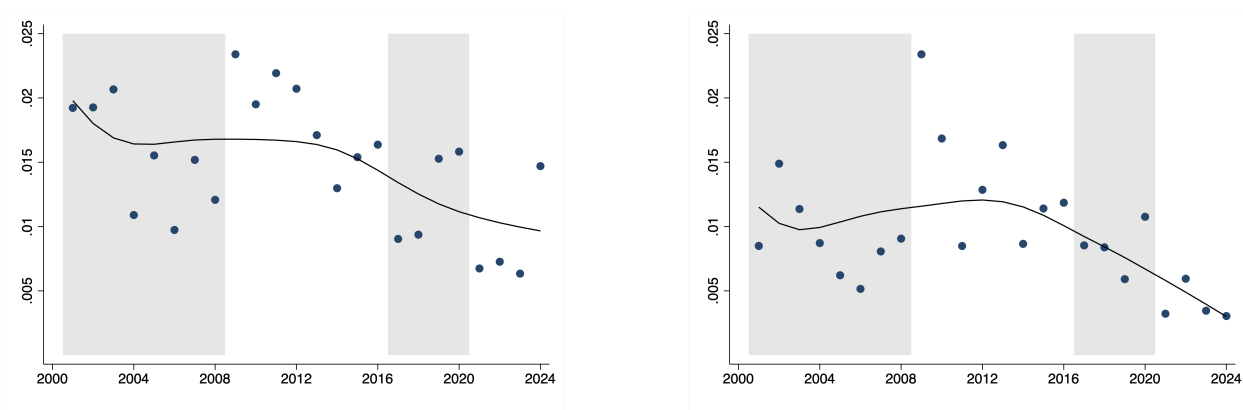
¹²Though Slaughter was fired by Trump during his second presidency in March of 2025, the back and forth, if anything, shows that the individual’s political identification as a label rather than her actual handling of antitrust matters is the “partisan” issue here. Courts are still deciding whether Trump’s firing is illegal.

Figure 2: Rate of Second Requests (left) and Block Attempts (right) by FTC, Fiscal Years 2001-2024



Notes: Graph areas shaded by partisanship of the sitting president.

Figure 3: Rate of Second Requests (left) and Block Attempts (right) by DOJ, Fiscal Years 2001-2024



Notes: Graph areas shaded by partisanship of the sitting president.

3 Citizen Preferences over M&A Enforcement

The recent revival of antitrust as a political issue has largely been driven by policymakers and scholars, and this paper seeks to understand how ordinary citizens perceive corporate consolidation and the regulation of M&A. After all, unlike many economic policies that operate in the background, consolidation shapes the prices people pay, the choices they see on shelves, and the size and prominence of the firms they encounter in daily life. These everyday experiences provide citizens with intuitive reference points. Even though antitrust has not been a core issue for average voters in contemporary times, voters certainly care about economic consequences.

I conduct an original survey experiment to examine the public opinion on M&A. The survey seeks to understand what kind of corporate consolidation an average citizen considers more relevant or harmful, and whether and under what conditions government interventions are deemed necessary. The survey also includes questions that measure respondents' general economic well-being.

The survey is administered on Prolific from October 15, 2025 to November 13, 2025.¹³ I use quota sampling to construct a representative US population sample in the following dimensions: geographical region, gender, race, age, political party identification, and education level.¹⁴ The final survey sample has 1,969 respondents. See Table OA1 in Appendix C for descriptive statistics of the sample.

3.1 Main Experiment

The general economic logic of antitrust is to spot and avoid increases in market concentration. Higher market concentration is associated with firms' ability to raise prices over the competitively possible threshold (i.e. market power). Traditionally, M&A within the same market (i.e. horizontal mergers) are considered more problematic because merging directly reduces the number of players and relative share of the new firm in that industry.¹⁵ M&A across different markets (i.e. vertical mergers) started attracting more attention from the agencies in recent years, culminating in the first standalone Vertical Merger Guidelines is-

¹³Prior to administering the survey, I filed a pre-analysis plan, see Appendix D; the survey is approved by the Stanford University IRB Board.

¹⁴Because the survey is quota sampled to match the general U.S. population on these demographic characteristics, we do not apply post-stratification weights to these data.

¹⁵See for example, the 2015 version of Horizontal Merger Guidelines, published by the FTC and DOJ: <https://www.justice.gov/atr/horizontal-merger-guidelines-0>.

sued in 2020. Though not definitive, the current standards of the agency doctrines would predict that large transactions within the same industry are more likely to be harmful.

In the main experiment, respondents are shown merger profiles and asked whether the merger in question should be stopped by government agencies. Each respondent gets six merger profiles, each with information on the acquiror firm, target firm relative size, target firm industry, and transaction size. The acquiror firm contexts are fixed, each with two versions and assigned randomly. The other attribute values are randomly assigned. In other words, every respondent gets all six acquiror firm profiles that are randomized in order.

In addition to the more intuitive economic factors, I vary how familiar certain mergers would appear to voters by showing merger profiles where the main firm (the acquiror) is presented as either the “branded” or “not branded” version of the same company. This experimental design signals how familiar the firm and its relevant market would appear to respondents. Conceptually, familiarity could cut in either direction. On one hand, recognizable brands can signal scale and market power, leading respondents to favor greater scrutiny. On the other hand, familiarity can generate leniency: people often hold positive associations with well-known brands, and prior work in consumer psychology shows that brand exposure and loyalty can foster positive affect (e.g. Zajonc (1968), Ahluwalia et al. (2000)). This design does not attempt to adjudicate whether respondents are rational, but it does allow us to test which of these competing intuitions dominates when people evaluate mergers.

3.1.1 Profile Attributes

Example profile: *Suppose that Newell Brands Inc, a consumer product company that owns brands such as Rubbermaid, Yankee Candles, and Sharpie, is trying to merge with a similar-sized company in the same industry. The merger is valued at 500 million dollars.*

Acquiror Firm: one out of the two versions is randomly assigned to each profile. Every respondent gets all six profiles. The main difference between the two versions is whether information on relatively more well-known brands that the acquiror firm owns is revealed to the respondents. I consider the branding information as a loose instrument for how close or familiar the acquiror firm appears to an average person. See Table 1 for the attribute values.

Deal Size: categorical variable with values “50 million dollars”, “100 million dollars”, “200 million dollars”, “500 million dollars”, “over a billion dollars”.

Other Firm Industry: categorical variable with values “a different industry”, “the same industry”.

Table 1: Attribute Values for the Acquiror Firm

Acquiror Firm	Not Branded	Branded
Mondelez	Mondelez International, a snack food company	Mondelez International, a snack food company that owns brands such as Oreo, Ritz, and Trident
Haleon	Haleon PLC, a pharmaceutical company	Haleon PLC, a pharmaceutical company that owns brands such as Advil, Sensodyne, and Emergen-C
Newell	Newell Brands Inc., a consumer product company	Newell Brands Inc., a consumer product company that owns brands such as Rubbermaid, Yankee Candles, and Sharpie
Kenvue	Kenvue Inc., a consumer health and beauty product company	Kenvue Inc., a consumer health and beauty product company that owns brands such as Band-Aid, Tylenol, and Neutrogena
Early Warning Services	Early Warning Services, a digital payment service company	Early Warning Services, a digital payment service company that owns and operates Zelle
Alphabet	Alphabet, a technology company	Alphabet, a technology company that owns services such as Google and YouTube

Other Firm Size: categorical variable with values “bigger”, “similar-sized”, “smaller”.

Outcome Variables: there are three outcome variables per profile, and an additional outcome variable per respondent.

Perception of price increase: Do you think this proposed deal would increase or decrease the prices of [products]¹⁶? 5-point scale from “Significantly increase prices” to “Significantly decrease prices”.

Perception of bigness: How big of a company do you think [acquiror] is? 5-point scale

¹⁶The exact wording is adjusted by profile, for instance, profiles with Mondelez would say “snack food”. For exact wording, see accompanying document that shows the full questionnaire.

from “Very small” to “Very large”.

Preference on government action: Do you think the US government should approve or stop this deal? 5-point scale from “Definitely approve” to “Definitely stop”.

Ranked choice: Please rank all 6 deals from most important to investigate further to least important to investigate further by dragging them into order.

The perception of price increase and perception of bigness questions are asked right after the respondent has seen each of the profiles, in a random order, then followed by the preference on government action question. After the respondents have gone through all the individual profiles, I bring back all six profiles again and ask them to rank the profiles from “the most important to investigate” to “the least important to investigate”.

3.2 Other Experiments

The other important aspect of voter responsiveness concerns how citizens update their support for government institutions and political representatives following policy actions. To examine this, I implement a second set of experiments. After the main experiment where respondents answer questions about the merger profiles, one of the profiles is randomly picked. A government action (either approve the merger or stop the merger) is randomly assigned at the respondent level to this profile. Respondents are then asked for their confidence in the government agencies, as well as likelihood to re-elect a president that appointed the agency leaders. Lastly, a treatment of enforcement failure is randomly assigned to half of the respondents, followed by questions asking about their confidence in the government agencies, as well as likelihood to re-elect a president that appointed these agency leaders. To make the failures believable and knowable, the wordings differ by the randomly assigned agency action treatment. See below for details:

- **Agency action = stop:** The Federal Trade Commission (FTC) and the Department of Justice (DOJ) looked at this transaction involving [acquiror], where you responded [respondent preference for this merger profile], when asked what the government should do. The FTC and DOJ decided to **stop** the merger.
 1. **Control:** Suppose that because the FTC and DOJ stopped this merger, the two firms did not complete the transaction.
 2. **Failure:** Suppose that after the FTC and DOJ decided to stop this merger, the two firms filed a lawsuit in federal court challenging this decision. The court sided

with the firms, allowing them to ultimately merge.

- **Agency action = approve:** The Federal Trade Commission (FTC) and the Department of Justice (DOJ) looked at this transaction involving [acquiror], where you responded [respondent preference for this merger profile], when asked what the government should do. The FTC and DOJ decided to **approve** the merger.
 1. **Control:** Suppose that after the FTC and DOJ approved this merger, the two firms completed the transaction, and prices of their products did not go up.
 2. **Failure:** Suppose that after the FTC and DOJ approved this merger, the two firms completed the transaction, and later raised prices of their products.

This design allows me to assess not only whether voters reward or punish agencies for actions that align with their own preferences, but also whether they distinguish between mere disagreement and actual regulatory failure.

Outcome Variables: there are two sets of two outcome variables — in total four — per respondent.

Confidence in government agencies: Does this action affect your confidence in the agencies? 5-point scale from “Significantly increase my confidence in FTC/DOJ” to “Significantly decrease my confidence in FTC/DOJ”.

Electoral outcome: Does FTC/DOJ’s decision mentioned above make you more or less likely to support re-electing the president who appointed those agency leaders?¹⁷ 5-point scale from “Much more likely” to “Much less likely”.

3.3 Other Survey Measures

Prior to any experiments, I draw a baseline for how citizens view economic conditions they are in. This is an area where prior research has found large partisan gaps (e.g. Gerber and Huber (2009)). My results are consistent with previous research that respondents exhibit a pattern of partisan cheerleading where Republicans have a more positive view on the nation’s economy than Democrats and Independents, see Figures OA6 and OA7 in Appendix C. Such

¹⁷To avoid/lessen association to current sitting President, I open this question with the following prompt: “In the US, presidents play a direct role in shaping the leadership of FTC and DOJ, by nominating their top officials (e.g., commissioners and assistant attorney generals), subject to Senate confirmation.”

partisan divides are not as prominent when it comes to evaluating one’s personal economic well-being, see Figure OA8 in Appendix C.

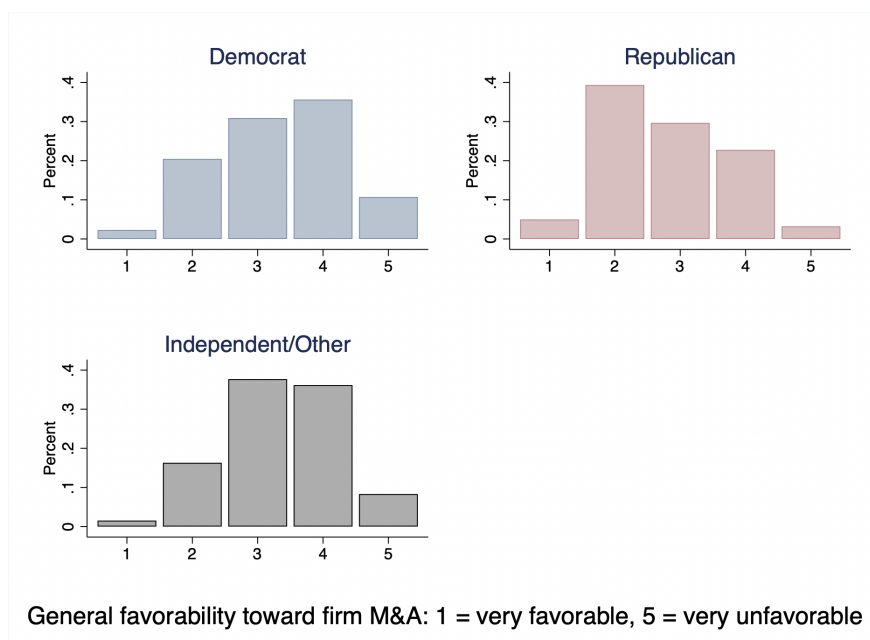
I also measure their baseline attitudes toward M&A by asking them how favorably they think of M&A activities, and whether they think M&A activities should be monitored by the government.

Favorability: In general do you think of firms’ mergers and acquisitions (M&A) favorably or unfavorably? 5-point scale from “Very favorably” to “Very unfavorably”.

Gov Involvement: In general, do you think firms’ M&A activities should be left to the market and firms, or closely monitored by the government? 3-point scale: 1 = “Left to the market and firms entirely”, 2 = “Left to the market and firms mostly but monitored by the government”, 3 = “Monitored by the government closely”.

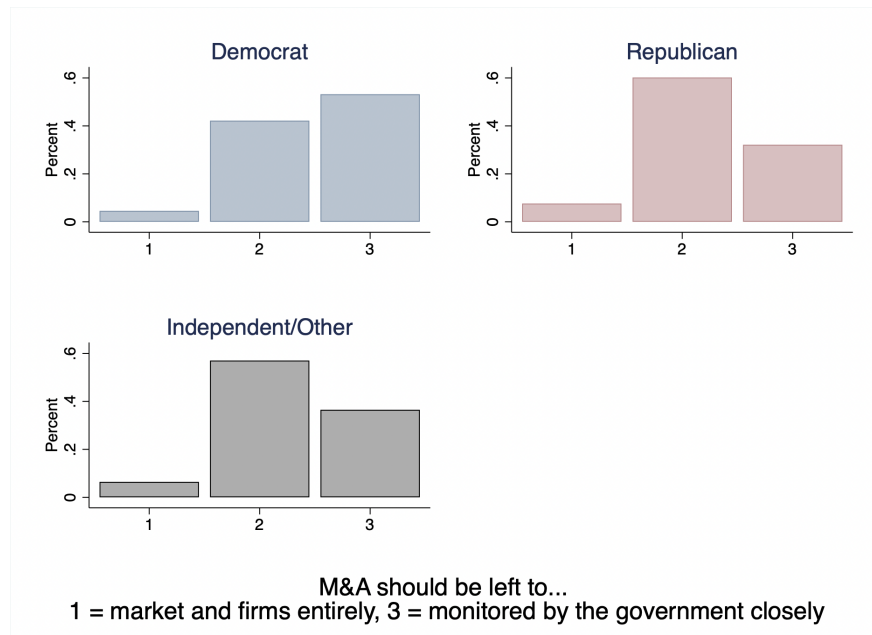
I document a large partisan divide in general favorability, where Republicans are much more likely to hold a favorable view on firms merging with each other, see Figures 4 and 5. Majority of the respondents, across the partisan aisle, would prefer some level of government supervision of mergers and acquisitions.

Figure 4: Pre-treatment Baseline of Respondent Attitude toward M&A: General Favorability



After the experiments, I measure the immutable traits of respondents, including age, gender, race and ethnicity, education, income, geographical location, financial literacy, and financial asset mix.

Figure 5: Pre-treatment Baseline of Respondent Attitude toward M&A: Views on Supervision



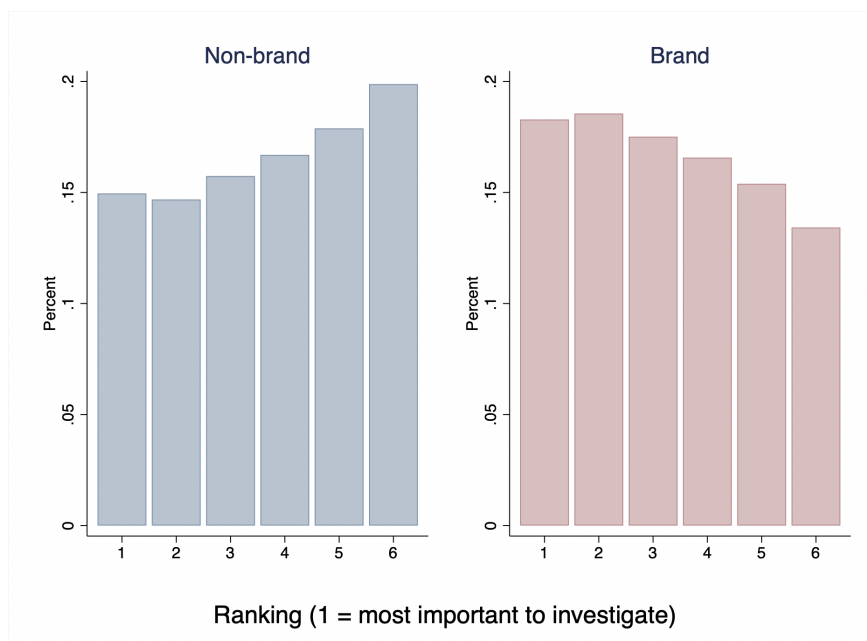
3.4 Results

The survey results show that respondents want more government intervention when transactions are large, occur within the same industry, or involve well-known brands. These characteristics increase respondents' perception of both market power and the sheer bigness of the firm involved. I also find that respondents react to government taking an action that is in congruence or not in congruence with what they preferred. Unsurprisingly, respondents reward congruent agency behaviors and punish incongruent ones. However, there is a baseline positive association between the agencies stopping a merger and higher confidence in government as well as higher likelihood to re-elect a president. Finally, respondents decrease their confidence in government and likelihood to re-elect a president when they learn about an enforcement failure.

Table 2 shows how observable merger characteristics shape respondents' preferences for government intervention. The dependent variable is a 5-point scale from 0 = definitely approve to 1 = definitely stop and captures the degree of support for the government blocking a proposed merger. The patterns are consistent across specifications that employ various combinations of fixed effects or controls. The scale can be loosely interpreted as from 0 to 100 percent, how much the respondent would like the government to stop the said merger. Transaction size matters substantially: compared with a \$50 million deal, respondents are

13–15 percentage points more likely to favor stopping a merger valued at over \$1 billion. Compared to the benchmark merger profile, respondents roughly want the same level of government intervention between a horizontal \$50 million merger and a vertical \$200 million merger. Substantively, I find that branded mergers are consistently associated with greater support for government intervention. Revealing brand information increases respondents’ support for government putting a definitive block on the proposed merger by around 3.5 percentage points. This effect size is non-trivial. For example, the effect of simply revealing the brands is comparable to the effect of doubling the transaction size from \$50 to \$100 million: respondents would want the same level of government intervention between a \$50 million merger with revealed brands and a \$100 million merger if they don’t know about the brands. Even when having a second look at all the profiles, respondents are more likely to rank the branded mergers as more important for the government to investigate. See Figure 6. Imposing a ranked choice naturally asks respondents to differentiate between levels of priority.

Figure 6: Ranked Choice as Outcome: distribution of rankings (1 = most important to investigate)



I also discuss possible channels through which ordinary citizens evaluate M&A. Deciding whether a merger is potentially harmful is a complicated economic decision even among trained experts and professionals. It’s not uncommon to find champions on both sides of approve versus stop for a given merger. I explore two possibilities. The first is about market power: I ask respondents how they think prices of the relevant products would change if

Table 2: Respondents want branded, larger, horizontal mergers to be prosecuted more by the government

	Gov should... (0 = def approve, 1 = def stop)					
	(1)	(2)	(3)	(4)	(5)	(6)
Branded	0.034*** (0.005)	0.033*** (0.004)	0.033*** (0.004)	0.033*** (0.004)	0.035*** (0.005)	0.033*** (0.005)
Deal Size: 100 million	0.029*** (0.007)	0.036*** (0.007)	0.036*** (0.007)	0.036*** (0.007)	0.028*** (0.007)	0.032*** (0.007)
Deal Size: 200 million	0.054*** (0.008)	0.064*** (0.007)	0.062*** (0.007)	0.064*** (0.007)	0.053*** (0.007)	0.057*** (0.007)
Deal Size: 500 million	0.081*** (0.008)	0.096*** (0.007)	0.096*** (0.007)	0.096*** (0.007)	0.081*** (0.008)	0.084*** (0.007)
Deal Size: over a billion	0.126*** (0.008)	0.154*** (0.007)	0.154*** (0.007)	0.154*** (0.007)	0.128*** (0.008)	0.132*** (0.008)
Same Industry	0.054*** (0.005)	0.058*** (0.004)	0.058*** (0.004)	0.058*** (0.004)	0.053*** (0.005)	0.054*** (0.005)
Other Firm Size: similar sized	0.028*** (0.006)	0.033*** (0.005)	0.032*** (0.005)	0.033*** (0.005)	0.027*** (0.006)	0.028*** (0.006)
Other Firm Size: bigger	0.045*** (0.006)	0.050*** (0.005)	0.050*** (0.005)	0.050*** (0.005)	0.046*** (0.006)	0.048*** (0.006)
Favorability towards M&A						0.318*** (0.017)
Prefer Gov Oversight						0.086*** (0.012)
Respondent FE		Yes	Yes	Yes		
Profile FE			Yes			
Profile Order FE				Yes		
Demographic Controls					Yes	Yes
M&A Baseline View Controls						Yes
R-square	0.043	0.496	0.514	0.500	0.080	0.174
Observations	11814	11814	11814	11814	11808	11808

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: SE clustered by respondent. Six profiles per respondent. Demographic controls include age, gender, race and ethnicity, education level, income group, political party identification. “Favorability towards M&A” is a 5-point scale where 0 = respondent thinks of M&A very favorably in general, and 1 = respondent thinks of M&A very unfavorably in general. “Prefer Gov Oversight” is a 3-point scale where 0 = respondent thinks M&A activities should be left to the market and firms, and 1 = respondent thinks M&A activities should be closely monitored by the government.

the merger in question goes through. This question is a close proxy of asking about market power while avoiding the economic jargon. The second is about the sheer bigness: I ask respondents how big they think the acquiror firm is. This measure attempts to capture respondents' perceived harm of concentration that is beyond the imminent price increases. I report the results in Tables 3 and 4.

Table 3: Respondents expected large horizontal transactions between sizable firms to increase prices

	Expected Changes in Prices (0 = decrease significantly, 1 = increase significantly)					
	(1)	(2)	(3)	(4)	(5)	(6)
Branded	0.008** (0.004)	0.010*** (0.003)	0.010*** (0.003)	0.010*** (0.003)	0.008** (0.004)	0.007* (0.004)
Deal Size: 100 million	0.018*** (0.006)	0.021*** (0.005)	0.021*** (0.005)	0.021*** (0.005)	0.018*** (0.006)	0.020*** (0.006)
Deal Size: 200 million	0.033*** (0.006)	0.039*** (0.005)	0.039*** (0.005)	0.039*** (0.005)	0.033*** (0.006)	0.034*** (0.006)
Deal Size: 500 million	0.045*** (0.006)	0.050*** (0.005)	0.049*** (0.005)	0.050*** (0.005)	0.044*** (0.006)	0.046*** (0.006)
Deal Size: over a billion	0.068*** (0.006)	0.080*** (0.005)	0.080*** (0.005)	0.080*** (0.005)	0.069*** (0.006)	0.070*** (0.006)
Same Industry	0.035*** (0.004)	0.037*** (0.003)	0.037*** (0.003)	0.037*** (0.003)	0.035*** (0.004)	0.036*** (0.004)
Other Firm Size: similar_sized	0.014*** (0.005)	0.015*** (0.004)	0.015*** (0.004)	0.015*** (0.004)	0.013*** (0.005)	0.014*** (0.005)
Other Firm Size: bigger	0.025*** (0.005)	0.030*** (0.004)	0.030*** (0.004)	0.030*** (0.004)	0.025*** (0.005)	0.026*** (0.005)
Favorability towards M&A						0.146*** (0.014)
Prefer Gov Oversight						0.040*** (0.011)
Respondent FE		Yes	Yes	Yes		
Profile FE			Yes			
Profile Order FE				Yes		
Demographic Controls					Yes	Yes
M&A Baseline View Controls						Yes
R-square	0.022	0.468	0.474	0.468	0.037	0.071
Observations	11812	11812	11812	11812	11806	11806

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: SE clustered by respondent. Six profiles per respondent. Demographic controls include age, gender, race and ethnicity, education level, income group, political party identification. "Favorability towards M&A" is a 5-point scale where 0 = respondent thinks of M&A very favorably in general, and 1 = respondent thinks of M&A very unfavorably in general. "Prefer Gov Oversight" is a 3-point scale where 0 = respondent thinks M&A activities should be left to the market and firms, and 1 = respondent thinks M&A activities should be closely monitored by the government.

Table 3 shows respondents' expectations of post-merger price changes, where the dependent variable is a 5-point scale from 0 = "significantly decrease prices" to 1 = "significantly increase prices". Respondents expect to see price increases when the merger is large in transactional value, and happens within the same industry between sizable firms. Mergers

Table 4: Respondents think large branded mergers involves very large companies

	Perceived Bigness (0 = very small, 1 = very large)					
	(1)	(2)	(3)	(4)	(5)	(6)
Branded	0.119*** (0.004)	0.115*** (0.004)	0.115*** (0.004)	0.115*** (0.004)	0.117*** (0.004)	0.117*** (0.004)
Deal Size: 100 million	0.067*** (0.007)	0.066*** (0.006)	0.065*** (0.006)	0.067*** (0.006)	0.066*** (0.007)	0.066*** (0.007)
Deal Size: 200 million	0.094*** (0.007)	0.100*** (0.006)	0.099*** (0.006)	0.100*** (0.006)	0.095*** (0.007)	0.095*** (0.007)
Deal Size: 500 million	0.144*** (0.007)	0.162*** (0.006)	0.161*** (0.006)	0.162*** (0.006)	0.143*** (0.007)	0.144*** (0.007)
Deal Size: over a billion	0.214*** (0.007)	0.238*** (0.006)	0.237*** (0.006)	0.238*** (0.006)	0.215*** (0.007)	0.215*** (0.007)
Same Industry	-0.005 (0.004)	-0.001 (0.004)	-0.000 (0.004)	-0.002 (0.004)	-0.005 (0.004)	-0.005 (0.004)
Other Firm Size: similar_sized	-0.013*** (0.005)	-0.011** (0.005)	-0.010** (0.005)	-0.011** (0.005)	-0.013*** (0.005)	-0.013*** (0.005)
Other Firm Size: bigger	-0.048*** (0.005)	-0.042*** (0.005)	-0.040*** (0.005)	-0.042*** (0.005)	-0.047*** (0.005)	-0.047*** (0.005)
Favorability towards M&A						0.020 (0.013)
Prefer Gov Oversight						0.032*** (0.011)
Respondent FE		Yes	Yes	Yes		
Profile FE			Yes			
Profile Order FE				Yes		
Demographic Controls					Yes	Yes
M&A Baseline View Controls						Yes
R-square	0.156	0.463	0.512	0.464	0.164	0.166
Observations	11814	11814	11814	11814	11808	11808

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: SE clustered by respondent. Six profiles per respondent. Demographic controls include age, gender, race and ethnicity, education level, income group, political party identification. “Favorability towards M&A” is a 5-point scale where 0 = respondent thinks of M&A very favorably in general, and 1 = respondent thinks of M&A very unfavorably in general. “Prefer Gov Oversight” is a 3-point scale where 0 = respondent thinks M&A activities should be left to the market and firms, and 1 = respondent thinks M&A activities should be closely monitored by the government.

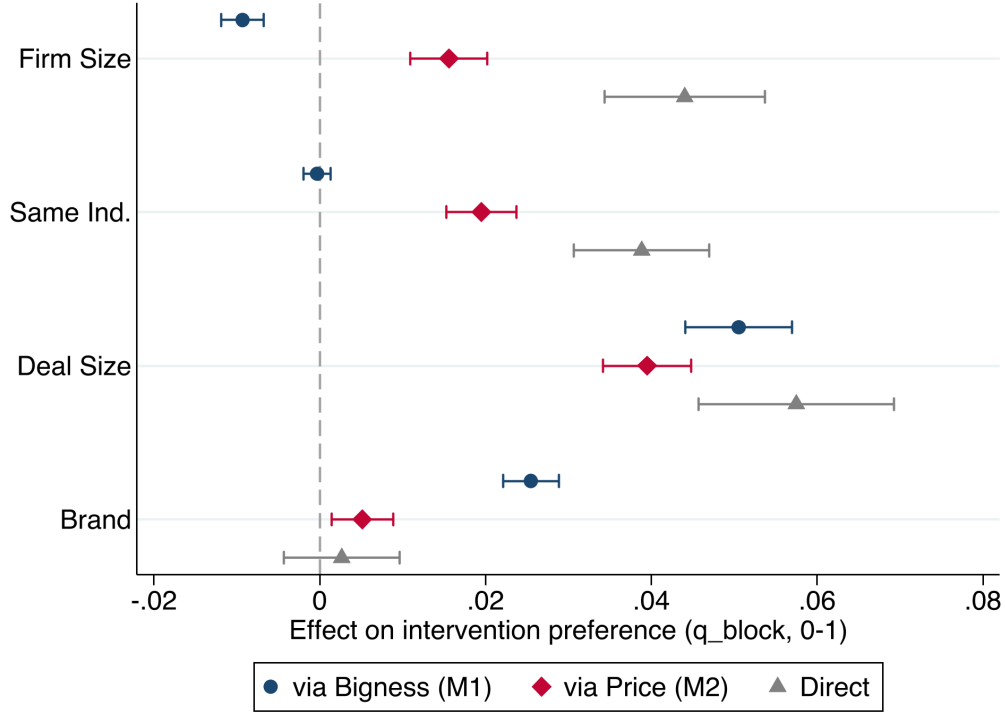
involving branded firms lead respondents to expect higher prices, net of other deal characteristics, though the effect size is moderate comparing to other attributes. Table 4 shifts the focus to respondents’ broader attitudes toward bigness. Here, the dependent variable is a 5-point scale from 0 = “very small” to 1 = “very large”. Respondents perceive firms with brands and attempt to acquire smaller firms with large transactional values to be much larger. The effect of revealing brands is remarkable: it is larger than the effect of quadrupling the deal size from \$50 million to \$200 million; its effect size is over half of significantly increasing deal size from a \$50 million to over a billion dollars. In other words, simply priming on how familiar a firm appears through brands produces a shift in perceived bigness comparable to increasing the deal’s monetary value by an order of magnitude. In both outcomes, respondents are quite reasonable. For instance, a horizontal merger directly increases the concentration within the industry, and respondents associate it with an increase in market power, however, large firms can make deals within or across industries so respondents don’t necessarily think horizontal mergers signal bigness.

Taken together, the results suggest that respondents think about both market power and bigness beyond price increases when evaluating firms’ M&A activities. The public interprets mergers through a reasonable economic logic — large transactions that combine sizable firms within the same industry predict a greater likelihood of price increases in a relevant product space. The public is also concerned about the sheer bigness. While economists, legal scholars, and corporate executives may argue that even as firms expand, certain mergers lack the intent or capacity (at least in the short run) to eliminate competition, raise prices, or monopolize an industry, the public favors a more precautionary approach. Corporate scale itself is a potential source of risk, and the public might not want to rely on the benevolence of large firms. My results also show that respondents use familiarity as a heuristic. When the acquiror firm is presented with its well-recognized brands, respondents perceive the merger as posing a greater threat: they expect higher post-merger prices and view the firm as substantially larger in scale. These patterns indicate that branding activates intuitions about corporate reach and market power more than brand loyalty and other positive associations. Rather than generating leniency, familiarity heightens perceived risk.

So far I have treated perceived prices and bigness as outcomes in their own right. A final question is whether they account for the support-for-intervention results in Table 2: do deal features raise support for government action because they shift these perceptions, and do different features work through different perceptions? I decompose each feature’s total effect on support for intervention into the share mediated by expected price increases, the share mediated by perceived bigness, and a residual direct effect, estimating the decomposition

with respondent fixed effects and bootstrapping confidence intervals by respondent.¹⁸

Figure 7: Channel decomposition of feature effects on support for intervention



Notes: Each feature's total effect on support for intervention (Table 2) is decomposed into the portion mediated by perceived bigness (Table 4), the portion mediated by expected price increases (Table 3), and a residual direct effect. Estimates include respondent fixed effects; 95% confidence intervals are from a respondent-clustered bootstrap.

Figure 7 reports the decomposition. The economic features retain large direct effects: about two-thirds of the industry-overlap effect and 40% of the deal-size effect operate outside respondents' measured price and bigness perceptions, through considerations the two items do not capture. Where these features are mediated, however, the price channel does the work: industry overlap is mediated through expected prices and essentially not through perceived bigness (Table 4), and for deal size expected prices carry a share comparable to bigness.

¹⁸Because the merger attributes are randomized, the feature-to-perception and total effects are cleanly identified; the perception-to-preference link rests on a sequential-ignorability assumption (Imai et al. 2010), mitigated by the respondent fixed effects and by asking the two perception items in randomized order. For the familiarity effect, a controlled-direct-effect estimate that holds respondents' price expectations fixed: the brand effect is essentially undiminished, confirming it does not run through the price channel. Because perceived bigness is itself affected by branding, I estimate this by sequential g-estimation (Acharya et al. 2018), which remains valid when bigness acts as a treatment-induced intermediate confounder. All these results are included in Appendix C.

Familiarity is more fully accounted for, and works through a different channel. Nearly the entire brand effect on support for intervention is mediated — about 93% — but overwhelmingly through perceived bigness (roughly three-quarters of its total effect) rather than price. Brand familiarity thus operates almost wholly as a threat from “bigness” — a general idea of corporate power that is in addition to the ability to manipulate prices.

The mediation rests on two closed-ended perception measures. As an independent check on whether they capture how respondents actually reason, I also asked respondents to explain their rankings in their own words. The economically relevant features of a deal dominate these explanations: about 71% of respondents invoke a structural feature—firm size, transaction value, or industry overlap—and 58% invoke a welfare consideration, namely effects on consumers or on competition and markets, with 17% using technical antitrust vocabulary unprompted and nearly half raising two or more distinct dimensions. This is the coherent, economically grounded reasoning the experiment also recovers, and competition and market-structure reasoning in particular is a natural candidate for the direct effects the mediation leaves unexplained. Familiarity surfaces less often in people’s own words—about 12% name a specific firm. The broad pattern nonetheless fits how recognition-based cues are understood to operate: recognition can serve as an intuitive shortcut for attributes such as corporate scale and market power (Goldstein and Gigerenzer 2002), and people often cannot report the considerations that actually shaped their judgments (Nisbett and Wilson 1977; Lodge et al. 1989). This is consistent with the mediation analysis while familiarity is a dimension that is most tied to the outside information environment.

Next, I show that respondents are indeed responsive to agency decisions, suggesting that government responses to M&A have consequences in accountability and electoral outcomes. For a randomly picked merger profile out of the six profiles shown, respondents are told that the FTC and DOJ decided to either approve or stop the merger, which naturally translates to one of the three randomly assigned conditions: congruence, where the agency action matches respondent preferred action, incongruence, where the agency action goes against respondent preferred action, and neutral, where respondent indicated “neither approve nor stop” when evaluating the merger profile. All regressions control for partisanship, demographic characteristics, and pre-treatment attitudes toward M&A, ensuring that the observed effects are not mere reflections of partisan or identity-based loyalties.

Unsurprisingly, respondents increase their confidence in the FTC and DOJ when the agencies act congruently, and decrease their confidence when the agencies act incongruently. See Column (1) of Table 5. Interestingly, there is a baseline positive association between agencies stopping a merger and increasing confidence in the agencies. Column (2) shows that

while incongruent behaviors decrease respondents’ confidence, their effects are entirely offset in the cases where the agencies decided to stop a merger that the respondents thought the government should have approved. Allowing different responses to agencies stopping a merger by respondent reported preferences does not erase this baseline positive effect, see Column (3). Table 6 shows a further breakdown by respondent reported preferences into three subsamples. Similar to the previous table, agency decisions to stop a merger shift respondents’ confidence in the government in opposite directions depending on their priors: confidence decreases among those who prefer approval, and increases among those who prefer the government to block the merger. The magnitudes across the two groups — Column (1) versus Column (3) in Table 6 — are noticeably asymmetric. Importantly, even among respondents who initially expressed neutral preferences (i.e. “Neither approve nor stop”), stopping a merger leads to a boost in confidence. Across both tables, the results suggest that there is a general preference for government intervention: stopping a merger is broadly viewed as a sign of good governance and effective agency supervision.

Table 5: Respondents reward congruences and punishes incongruence, with an average baseline revealed preference for agencies stopping a merger

	Confidence in FTC/DOJ (0 = decrease significantly, 1 = increase significantly)		
	(1)	(2)	(3)
Congruence	0.105*** (0.012)	0.120*** (0.011)	0.086*** (0.016)
Incongruence	-0.108*** (0.012)	-0.110*** (0.011)	-0.185*** (0.017)
Agency Action: Stop		0.149*** (0.009)	0.076*** (0.017)
Agency Action: Stop X Congruence			0.059*** (0.022)
Agency Action: Stop X Incongruence			0.135*** (0.022)
R-square	0.215	0.321	0.335
Observations	1967	1967	1967

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

Tables 7 and 8 show the same specifications with a dependent variable that is related to electoral outcomes. Respondents first read about how in the US presidents can directly pick agency heads, and are asked about their likelihood to re-elect a president who appointed the agency heads that made the aforementioned decision (i.e. either approve or stop the

Table 6: Further breakdown by respondent reported preferences

	Confidence in FTC/DOJ (0 = decrease significantly, 1 = increase significantly)		
	(1)	(2)	(3)
Agency Action: Stop	-0.061*** (0.013)	0.076*** (0.015)	0.403*** (0.016)
Respondent Preference	Approve	Neutral	Stop
R-square	0.064	0.100	0.545
Observations	813	487	664

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

merger). The results corroborate the previous findings where the outcome is confidence in the FTC and DOJ, further demonstrating that perceptions of merger decisions could extend their effects to electoral consequences. While antitrust might not be the core issue for an average citizen, the results suggest that information on how the agencies have been handling specific mergers could shift voters’ electoral preferences.

Table 7: Respondents reward congruences and punishes incongruence in electoral outcomes as well, with an average baseline revealed preference for agencies stopping a merger

	Likelihood to re-elect president (0 = decrease significantly, 1 = increase significantly)		
	(1)	(2)	(3)
Congruence	0.061*** (0.011)	0.070*** (0.011)	0.056*** (0.016)
Incongruence	-0.106*** (0.011)	-0.107*** (0.011)	-0.175*** (0.016)
Agency Action: Stop		0.084*** (0.008)	0.031* (0.017)
Agency Action: Stop X Congruence			0.019 (0.022)
Agency Action: Stop X Incongruence			0.122*** (0.022)
R-square	0.219	0.257	0.272
Observations	1967	1967	1967

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

Table 8: Further breakdown of electoral outcomes by respondent reported preferences

	Likelihood to re-elect president (0 = decrease significantly, 1 = increase significantly)		
	(1)	(2)	(3)
Agency Action: Stop	-0.076*** (0.013)	0.032* (0.016)	0.278*** (0.015)
Respondent Preference	Approve	Neutral	Stop
R-square	0.157	0.087	0.424
Observations	813	487	664

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

Yet in reality, blocking a merger is an exceptionally rare event (see Section 4 for details), due to the agencies’ limited capacity. This divergence between public sentiment and institutional capacity has two implications. First, it suggests that the public may support expanding the budgets or personnel of agencies like the FTC and DOJ to better align enforcement capacity with expectations for oversight. Second, for highly visible mergers (for instance, those that involve well-known brands), the heightened salience could generate public pressure for regulators to act more, potentially nudging agencies toward investigating certain types of transactions at a higher rate.

Lastly, I investigate how citizens respond to agency enforcement failures. When the agencies block a merger, they could lose the case in the court, effectively failing to successfully stop the merger; when they approve a merger which then leads to price increases, the agencies have effectively failed to intervene in a harmful merger. The two conditions are intentionally asymmetric to avoid speculation about counterfactuals¹⁹. Instead, both scenarios provide respondents with observable information that could update their assessments of agency competence or judgment through different inferential pathways: a court loss could signal excessive or ineffective enforcement, while a failure to intervene in a harmful merger could signal under-enforcement or incompetence in reviewing the merger ex-ante.

Tables 9 and 10 show results in agency confidence split by assigned agency action. Tables 11 and 12 show results in electoral responses by assigned agency action.

Overall, respondents react to agency enforcement failures negatively. Magnitude-wise, ap-

¹⁹For example, should the agencies intervene in an approved merger, whether they would have secured a successful block in court; should the agencies approve a stopped merger, whether prices would have gone up post merger. These counterfactuals often induce disagreements even among antitrust experts.

Table 9: Respondent reaction to price increases after agencies approve the merger

	Confidence in FTC/DOJ (0 = decrease significantly, 1 = increase significantly)			
	(1)	(2)	(3)	(4)
Agency Failure	-0.321*** (0.013)	-0.302*** (0.019)	-0.243*** (0.027)	-0.409*** (0.021)
Respondent Preference		Approve	Neutral	Stop
R-square	0.461	0.455	0.404	0.588
Observations	967	399	221	343

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

Table 10: Respondent reaction to agency failure in blocking the merger after the attempt

	Confidence in FTC/DOJ (0 = decrease significantly, 1 = increase significantly)			
	(1)	(2)	(3)	(4)
Agency Failure	-0.150*** (0.012)	-0.052*** (0.020)	-0.128*** (0.022)	-0.290*** (0.022)
Respondent Preference		Approve	Neutral	Stop
R-square	0.185	0.139	0.221	0.420
Observations	1000	411	265	321

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

proving a harmful merger induces large decreases in confidence, even among respondents who ex-ante prefer government approval of the merger or hold neutral opinions. When reacting to failure in blocking the merger, the negative association is generally smaller in magnitude. Importantly, Columns (2) of both Table 10 and Table 12 show that even when respondents believe that the government should have just approved the merger, they update their view on the agencies accordingly when the agencies intervened but failed to prevail in court, and such updates has electoral consequences as well. This is reassuring — average citizens are able to separate agency competence and effectiveness from their personally preferred government actions. The same logic goes with the subsample with prior preference of stopping the merger, see Columns (4) of both tables. Though the two failure conditions are not exactly opposite to each other, the setup mimics what kind of information is possible to convey to the general public in real life. Both price increases of a merger that did happen and the government failure to secure a block from courts are observable, and could be mentioned in congressional reports, political campaign speeches, and everyday news outlets, whereas how prices would have changed should the merger take place, or how effectively the block would have been should the agencies intervene, are complicated and oftentimes unknowable counterfactuals. One immediate implication to antitrust policies and enforcement is that the public does care about what the government is doing with mergers and acquisitions, and that providing clear, accessible information about agency activity and outcomes can improve public understanding and engagement.

Table 11: Respondent reaction to price increases after agencies approve the merger, electoral outcome

	Likelihood to re-elect president (0 = decrease significantly, 1 = increase significantly)			
	(1)	(2)	(3)	(4)
Agency Failure	-0.218*** (0.013)	-0.207*** (0.018)	-0.125*** (0.030)	-0.298*** (0.021)
Respondent Preference		Approve	Neutral	Stop
R-square	0.358	0.358	0.247	0.491
Observations	967	399	221	343

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

Table 12: Respondent reaction to agency failure in blocking the merger after the attempt, electoral outcome

	Likelihood to re-elect president (0 = decrease significantly, 1 = increase significantly)			
	(1)	(2)	(3)	(4)
Agency Failure	-0.087*** (0.012)	-0.069*** (0.019)	-0.028 (0.024)	-0.141*** (0.021)
Respondent Preference		Approve	Neutral	Stop
R-square	0.144	0.217	0.175	0.223
Observations	1000	411	265	321

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: “Stop” is a dummy for randomly assigned government action = “stop the merger”. “Congruence” is a dummy for government action matching the respondent’s evaluation of the merger profile.

“Incongruence” is a dummy for government action opposite to the respondent’s evaluation of the merger profile. The omitted comparison group is when respondents reported “Neither approve nor stop” when evaluating the merger profile. All regressions include demographic controls (age, gender, race and ethnicity, education level, income group, political party identification) as well as pre-treatment variables that measure respondent baseline attitudes toward M&A.

4 FTC and DOJ in Action

Having examined how citizens evaluate mergers in a survey environment, I now show that many of the same considerations appear in how federal agencies enforce antitrust laws. To do so, I analyze the actions of the FTC and DOJ under the the Hart–Scott–Rodino (HSR) Act. These two agencies are jointly responsible for enforcing federal antitrust law and systematically reviewing pre-merger filings. The HSR framework requires merging parties where the proposed transaction meets certain thresholds to notify the government before consummating the said transaction. See more details in Appendix A.

The HSR process offers a systematic window into how the agencies review mergers at the point of filing. Combining FTC and DOJ records with comprehensive financial records of all mergers and acquisitions in the US, I am able to study what type of cases attract FTC and DOJ attention among a pool of all possible targets. The observational analyses serve as a real-world counterpart to the experimental results. Together, they help assess whether the public’s concerns are reflected in regulatory patterns.

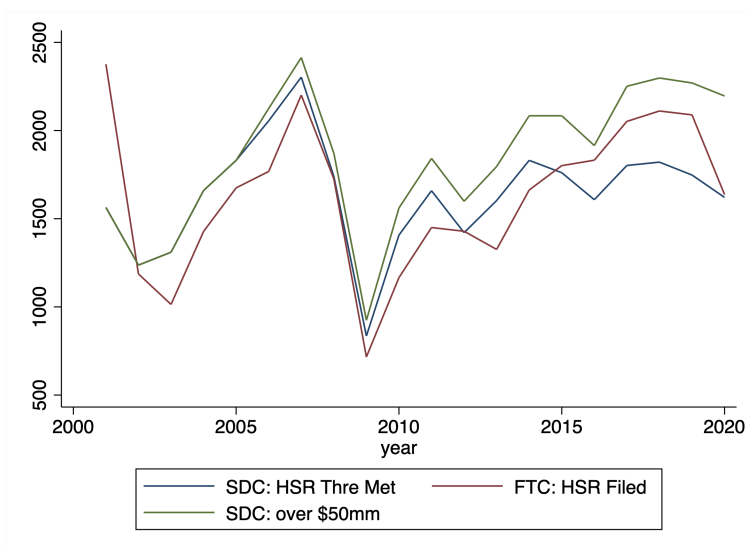
4.1 Data on Transactions

I use both government agency records and financial records to build the main transaction-level data. The FTC and DOJ publishes records of consent orders and complaints submitted to administrative or federal courts. For more details, see Appendix B.

However, these transaction-level records only show part of what the FTC and DOJ have done. One important question is how they pick these cases out of all the cases that they could have investigated. To proxy for the whole pool of M&A activities, I use LSEG SDC Platinum to get all records of M&A transactions with US involvement — that is, at least one party involved in the transaction has a US entity.²⁰ Then, I match this database to transaction-level information from FTC and DOJ. The main comparison group would be cases that have met the HSR size of transaction threshold but not flagged by the FTC/DOJ according to the agencies’ public records.

I remove any transaction that involves a REIT (Real Estate Investment Trust) since REITs are not subject to HSR reviews; I also remove mergers between banks because banks are primary overseen by other federal agencies such as the Federal Deposit Insurance Corporation (FDIC) and Office of the Comptroller of the Currency (OCC). I remove self-purchases, share buybacks, as well as leveraged buyouts. As a sanity check, I compare the volume of transactions against the aggregate data from FTC/DOJ. The proxy pool tracks FTC/DOJ official statistics closely, see Figure 8 below.

Figure 8: Number of transactions in proxy pool from SDC tracks official government statistics



Lastly, I use YouGov’s BrandIndex as a proxy for well-known brands. YouGov keeps track of close to 2,000 brands in the US that covers a wide range of industries, from beverages, clothing stores, online brands, to insurance carriers, medical products, and telecom providers. Matching BrandIndex to SDC base dataset, I am able to categorize companies by whether a given company owns a tracked brand or not.

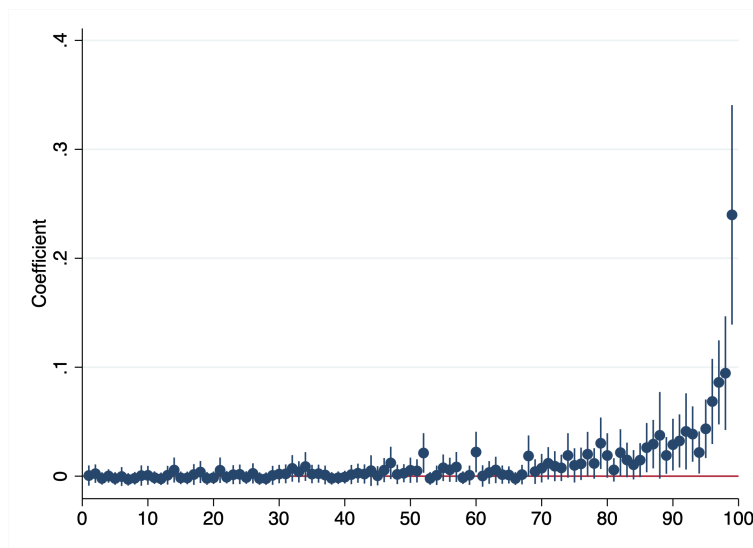
²⁰While relying on SDC as the foundation of my databuild, I use CRSP/Compustat Merged Database to complement firm level information such as annual net sales.

Due to different limitations of data coverage, the aggregate data covers the period of 2001 to 2024, and the regression base data covers the period of 2001 to 2020. Regression that involves YouGov based measures covers the period of 2006 to 2020.

4.2 What drives agency actions?

In this section, I show descriptively what kind of mergers are more likely to be blocked by the agencies. Firstly, larger transactions are flagged more often.²¹ Interestingly, deal sizes influence the chance of getting flagged in a very non-linear way — the top 10% of transactions in a given year are more likely to get flagged, and the top 1% attracts a lot more attention from the agencies. This is true in both settings of within-year comparisons and within-acquiror comparisons. See Figures 9 and 10 where coefficients of the deal size percentiles are plotted, and the dependent variable is dummy = 1 for transactions that are flagged. Same industry (horizontal) mergers are more likely to get flagged; the magnitude is around 1.2 to 1.5 percentage points.

Figure 9: Coefficients of Deal Size Percentiles, within Year Comparison

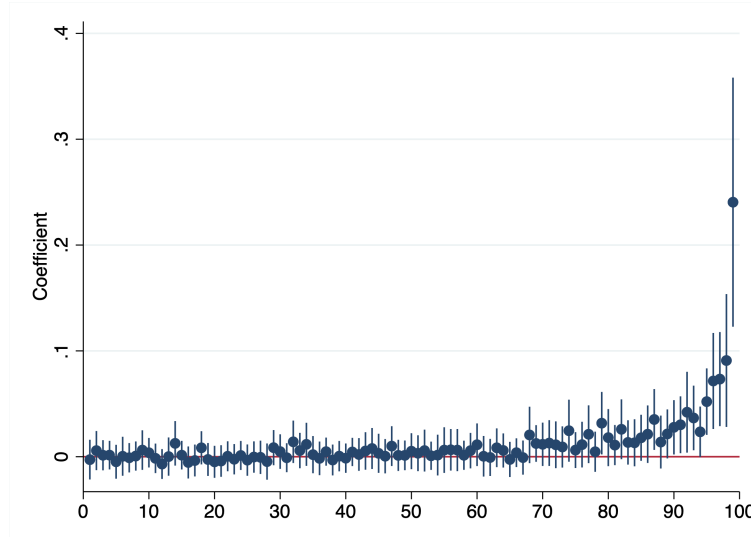


Notes: Regression includes year FE, industry level concentration (defined as whether an industry has HHI that is considered “highly concentrated” per the agencies’ Merger Guidelines), indicator for horizontal mergers at 6-digit NAICS level. Standard errors are clustered at acquiror firm 6-digit NAICS code level.

Next, I show how more publicly visible and familiar cases are more likely to get flagged. Descriptively, when acquiror firms have a tracked brand, the agencies are more likely to

²¹I note that around 60% of the records in SDC have missing values for deal sizes, and hence are excluded from analysis. While this is not ideal, SDC is the best data source for such measures to my knowledge, and one can reasonably assume that if there is a selection bias in reporting, the bias tend to be downward — i.e. the deals with missing deal sizes are likely to be smaller on average.

Figure 10: Coefficients of Deal Size Percentiles, within Acquiror Firm Comparison



Notes: Regression includes acquiror firm FE, industry level concentration (defined as whether an industry has HHI that is considered “highly concentrated” per the agencies’ Merger Guidelines), indicator for horizontal mergers at 6-digit NAICS level. Standard errors are clustered at acquiror firm 6-digit NAICS code level.

block the transaction, see Table 13. The magnitude — around 0.8-0.9 percentage points in columns (1) and (2) — might not seem large, but recall that the average flagging rate at the aggregate level is between 0.6% and 3.4% in a given year; in the regression sample, the average annual flag rate is around 1.52%. The effect of having a tracked brand is amplified when the merger is within the same industry, see column (3). Conditioned on such horizontal transactions, deals with a visible and familiar acquiror are more than twice as likely to face regulatory actions. Columns (4) and (5) narrow the descriptive comparison by holding constant different dimensions of transaction similarity. Column (4) includes a target-industry fixed effect, effectively comparing transactions involving target firms operating in the same industry. Acquisitions by firms with recognizable brands remain more likely to attract scrutiny — around 0.6 percentage point. Column (5) includes a acquiror fixed effect, comparing different acquisitions made by the same firm over time. Within a given acquiror’s acquisition history and average over all acquirors who have made multiple acquisitions in the time period of 2001-2020, transactions involving more visible target firms are 0.7 percentage points more likely to get flagged.

Transactions where both companies have tracked brands are also more likely to get flagged, see Table 14. Measuring both merging parties’ brand status differs from the survey experiment design for several reasons. In the survey environment, varying whether to reveal brands for either or both firms would have introduced substantially more information and additional

Table 13: Acquiror firm having a tracked brand would attract more attention

	Flagged (0/1)				
	(1)	(2)	(3)	(4)	(5)
Acq Has Tracked Brand	0.008*** (0.002)	0.009*** (0.002)	0.005** (0.003)	0.006*** (0.002)	
Same Market		0.022*** (0.002)	0.020*** (0.002)	0.021*** (0.002)	0.017*** (0.003)
Acq Tracked X Same Market			0.017*** (0.006)		
Tar Has Tracked Brand					0.007** (0.003)
Year FE	X	X	X	X	
Acq Firm FE					X
Tar Industry FE				X	
R-square	0.002	0.008	0.008	0.025	0.313
Observations	22525	22525	22525	22520	17938

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: Same Industry transactions are defined as acquiror and target firms having the same primary 6-digit NAICS codes. Acq firm is identified at the ultimate parent company's 6-digit CUSIP code level. Tar industry is identified at the 3-digit NAICS code level. Due to BrandIndex's coverage, regressions in this table is constrained to the period of 2006-2020.

noise, while also constraining other attributes such as industry match or relative firm size. By contrast, in the real HSR filings, regulators observe complete information on both parties, and public visibility is naturally shaped by both firms involved. The goal here is not to replicate the experimental treatment mechanically, but to capture the broader empirical construct of how visible and familiar a merger would appear to the public. Introducing both merging parties' brand information therefore captures transaction, rather than firm, level visibility. Column (1) shows that more visible transactions, where both companies have tracked brands, are on average about 2.4-2.9 percentage points more likely to get blocked by the FTC and DOJ. Column (2) shows that this branding effect is stronger among large transactions—the top decile by deal size in a given year—that are already more likely to attract scrutiny. Column (3) includes controls for deal size, industry concentration, and firm sizes. While the magnitude shrinks, the net effect of having tracked brands on both sides of the merger remains positive. Columns (4) and (5) introduce more stringent fixed effects. By including acquiror-target industry pair fixed effects, these specifications compare transactions occurring within the same relevant market. The results are similar under this comparison: agency scrutiny increases when both parties have visible brands. Throughout all specifications, the interaction term for both merging parties having tracked brands remains positive and non-trivial in size relative to the coefficient of same market.²²

²²In the interacted specifications, the lower-order brand coefficients capture the association for transactions in which only one party has a tracked brand, conditional on the other party being untracked. The estimates therefore speak most directly to whether scrutiny is elevated for transactions in which both firms

Table 14: Transactions that involves brands on both sides are more likely to get flagged

	Flagged (0/1)				
	(1)	(2)	(3)	(4)	(5)
Acq Has Tracked Brand	0.004 (0.003)	0.007 (0.014)	-0.005** (0.003)	-0.001 (0.004)	-0.011*** (0.004)
Tar Has Tracked Brand	0.001 (0.003)	-0.019 (0.016)	-0.007** (0.003)	-0.003 (0.005)	-0.009* (0.005)
Acq Tracked X Tar Tracked	0.024*** (0.006)	0.053** (0.027)	0.015** (0.006)	0.031*** (0.009)	0.024*** (0.009)
Same Market	0.022*** (0.002)	0.072*** (0.011)	0.016*** (0.002)	0.017*** (0.003)	0.014*** (0.003)
Year FE	X	X	X	X	X
Acq-Tar Industry Pair FE				X	X
Subsample		Top 10%			
Controls			X		X
R-square	0.009	0.030	0.068	0.089	0.145
Observations	22525	2607	22525	11625	11625

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Notes: Same Industry transactions are defined as acquiror and target firms having the same primary 6-digit NAICS codes. Acq-Tar industry pair is defined at the 3-digit NAICS code level. Controls include transaction sizes in percentile cut by year (as a categorical variable), industry level concentration (defined as whether an industry has HHI that is considered “highly concentrated” per the agencies’ Merger Guidelines), Acquiror last 12 months net sales, Target last 12 months net sales. Due to BrandIndex’s coverage, regressions in this table is constrained to the period of 2006-2020.

Enforcement patterns may also operate at the level of industry selection rather than individual firms or transactions. Regulators often emphasize coverage across sectors, and some industries are more publicly visible than others. To examine whether visibility shapes enforcement at this broader level, I collapse the data to the acquiror–target industry pair and analyze whether more publicly visible industry pairs are more likely to experience at least one flagged transaction in a given year. Consistent with the transaction-level results, industry pairs with more tracked brands are also more likely to get flagged, particularly among same industry pairs. These results are included in Appendix C — see Tables OA6 and OA7.

Overall, the patterns indicate that mergers involving brands are more likely to attract antitrust attention, and this additional attention is more pronounced for transactions that already carry anticompetitive risks — larger deals, horizontal mergers. Visibility does not appear to substitute for economic signals; rather, scrutiny is heightened where economic risk and public familiarity coincide.

are publicly visible.

5 Conclusion and Discussion

This paper provides the first systematic evidence on two fronts: how citizens evaluate specific merger enforcement decisions and translate those evaluations into accountability consequences for agencies and elected officials, and how real agency enforcement patterns mirror the dimensions that structure public preferences. I show that average voters would like more government intervention in large transactions within the same industry; they also prefer more intervention upon learning that the firm involved in the transaction owns well-known brands. Revealing brand information has strong, positive causal effects on respondent perception of the firm’s market power and “bigness”. I conclude that average voters are able to evaluate mergers through sensible economic lenses, and use familiarity as a heuristic. I also find that individual preferences have consequences in their confidence in the government and likelihood to vote for a president. Respondents reward agencies for actions that align with their own preferences and penalize them when the decisions diverge, but they also exhibit a general tendency to view merger blocks as a signal of competence. These patterns extend to presidential approval, suggesting that antitrust enforcement decisions carry electoral implications beyond the agencies themselves. The observational analysis using FTC and DOJ records as well as financial records and data on brand complements survey findings. Investigations and block attempts are rare events that exhibit stable bi-partisan patterns for the past two decades. FTC and DOJ are more likely to block extremely large (the top 1%), horizontal transactions. The agencies are also more likely to block transactions where the firms involved own well-recognized brands. Overall, agency behaviors are generally aligned with public preferences, suggesting that average citizens are able to form meaningful opinions on complicated economic issues like M&A regulatory reviews, in the absence of elite or partisan cues.

There are several possible ways to interpret the alignment on familiarity, which is less straightforward compared to factors such as transactional size and industry. One possibility is that regulators anticipate what kinds of mergers attract public concern: highly visible firms and transactions involving well-known brands are easier for citizens to notice, and more likely to generate political scrutiny, especially if the antitrust agencies choose not to intervene. This interpretation is consistent with earlier work showing a positive association between merger challenges and political pressure, measured by congressional oversight and media attention (Coate et al. (1990)). Whether the patterns observed in this paper reflect healthy democratic accountability or some degree of bureaucratic pandering to avoid backlash remains an open question. A second possibility is that familiarity is a reasonable proxy for real competitive risks. Brands are associated with market power, and building a well-

recognized brand requires substantial resources, all of which make familiarity a meaningful signal for potential harm. A third possibility is that the positive association between blocking a merger and familiarity reflects a heuristic that may overweight visibility for regulators, though quantifying this bias would require detailed government documents to understand what the regulators are able to observe when they are making these decisions.

These interpretations are not mutually exclusive, and each highlights the importance of understanding how public perceptions and institutional incentives jointly shape antitrust regulations and enforcement. For instance, there could be broader implications to firms' non-market strategies as they seek to minimize government attention when conducting M&A.²³ One implication to businesses that are primarily business facing is to balance the risk and gain when they invest in public campaigns to promote their brand name.²⁴ Moreover, public sentiment could be influenced and even abused. Firms that are able to manipulate narratives, obscure ownership, or exert influence on political figures who act as principals to the agencies, can face a systematically lighter regulatory burden — a lighter burden that comes across as legitimate in the public eye as well.

This paper demonstrates that antitrust enforcement is not merely a technical exercise reserved for experts and elites but a deeply democratic one. Ordinary citizens are capable of forming coherent and sensible judgments about corporate consolidation. They likely draw on everyday experiences as consumers and workers: they notice when prices rise, when product choices narrow, and when a handful of firms seem to dominate more of their economic lives. These lived experiences provide intuitive but meaningful insights for how the government should regulate M&A. As corporate consolidation accelerates and public concerns over economic conditions grow, understanding how voters make sense of these dynamics is essential.

While this paper focuses on antitrust, the findings speak more broadly to how voters can form structured policy preferences in the absence of strong partisan or elite cues. Competition policy is a domain where citizens receive little direct messaging from political leaders. Whether the patterns here arise because the underlying economic conditions such as prices and bigness are readily observable and experienced, or because weak partisan signals prompt citizens to think more independently, remains an open question that is worth further research.

²³For example, Wollmann (2019) has identified bunching around the HSR filing threshold, which suggests that firms would manipulate transactional values to avoid HSR filing. DOJ and FTC have retrospectively investigated failures to file for HSR before, for example, see <https://www.ftc.gov/news-events/news/press-releases/2021/12/ftc-fines-biglari-holdings-inc-repeatedly-violating-antitrust-laws>.

²⁴For example, Intel is not consumer-facing but for intentional and unintentional reasons became a well-recognized brand name.

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Online Appendix

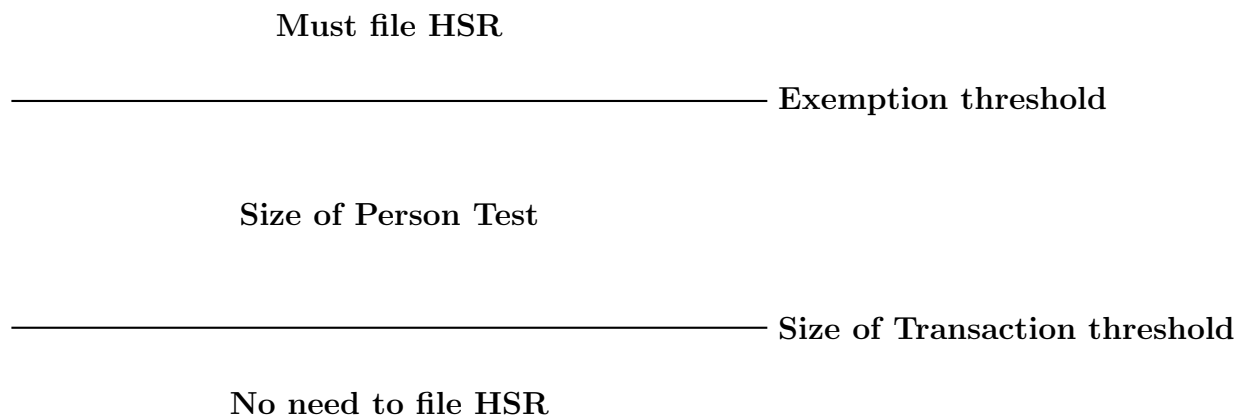
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A Institutional Details of HSR Review Process

The HSR Improvement Act of 1976 asks companies to file premerger notices with the Federal Trade Commission (FTC) and the Department of Justice (DOJ) for mergers larger than a certain size threshold. The most commonly used criteria is the size of transaction — namely, how much the acquiror firm pays to acquire the target company. Bill Clinton signed an amendment in 2000 to increase this threshold from \$15 million to \$50 million. Since 2005, the HSR deal size threshold also gets adjusted every year — in 2024, for example, the number is \$119.5 million. The other more complicated threshold is based on the size of person — that is, whether the firms involved in the transaction are large enough to warrant government attention.¹ This category of thresholds is harder to incorporate into empirical research due to lack of accurate firm level information that is often proprietary and private. Any transaction of a certain large size must file HSR notice with FTC, regardless of meeting size of person test or not. The original threshold was \$200 million; similar to the size of transaction threshold, this threshold gets adjusted every year since 2005. In this article, I primarily rely on the size of transaction threshold.

Figure OA1: HSR Filing Requirement



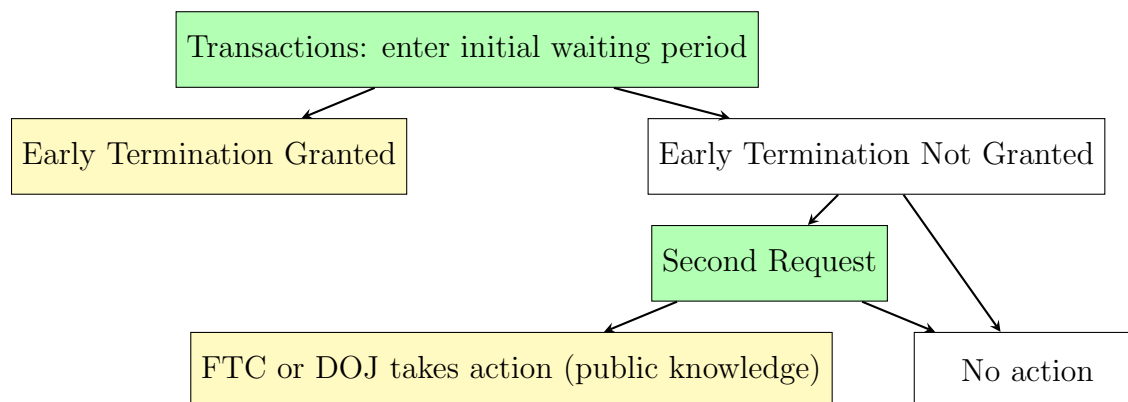
When companies file HSR filings for a potential merger, the transaction first enters a initial waiting period of 30 days. The companies could file for a request of Early Termination that could end the waiting period earlier (thus to consummate the merger earlier).² If a transaction is not granted Early Termination, at the end of the waiting period, FTC/DOJ

¹Original threshold: acquiror firm with sales larger than \$100 million and target firm with sales larger than \$10 million.

²When I talked to FTC economists, I was told that FTC usually initiate these Early Termination grants, implying that FTC/DOJ might initiate the Early Terminations rather than firms applying for them.

have the option to issue an additional information request (Second Request). At the end of the Second Request, FTC/DOJ have the option to launch formal investigation that seeks to block the merger. I illustrate the flow of the HSR review process in Figure OA2.

Figure OA2: HSR Review Process



B Details on Data

I use FTC and DOJ annual reports by fiscal year to build the aggregate datasets. From these reports, I observe the total number of HSR filings and those issued with information requests — these cells are the boxes highlighted in green in Figure OA2). Transaction-level data is not disclosed to the public.³ I am able to get transaction-level information for cases either granted Early Termination or those FTC and DOJ tried to stop (boxes highlighted in yellow in Figure OA2) by scraping FTC and DOJ websites. I show some examples of how this information looks on websites in Figures OA3 and OA4. Second Request information is considered proprietary and not disclosed at transaction level.

However, these transaction-level records only show part of what the FTC and DOJ have done. One important question is how they pick these cases out of all the cases that they could have investigated. To proxy for the whole pool of M&A activities, I use LSEG SDC Platinum to get all records of M&A transactions with US involvement — that is, at least one party involved in the transaction has a US entity.⁴ Then, I match this database to transaction-level information from FTC and DOJ via acquiror and target names. The main comparison group would be cases that have met the HSR size of transaction threshold but not flagged by the FTC/DOJ according to the agencies' public records. Essentially, I compare

³Both FTC and DOJ denied my FOIA requests on the ground that this information was meant to be protected and proprietary, and hence they were not obligated to share.

⁴Self purchases, share buybacks, mergers involving REITs, leveraged buyouts are excluded.

Figure OA3: Example of FTC Early Termination Notice

20210616: FedEx Corporation; ShopRunner, Inc.

Date: December 18, 2020
Transaction Number: 20210616
Acquiring Party: FedEx Corporation
Acquired Party: ShopRunner, Inc.
Granting Status: Granted

Acquired Entities

ShopRunner, Inc.

Figure OA4: Example of DOJ Action

Case Open Date

November 20, 2017

Case Name

United States v. AT&T Inc., DirecTV Group Holdings, LLC, and Time Warner Inc.

Case Type

Civil Merger

Case Violation(s)

Vertical Merger

Industry Code(s)

Cable and Other Subscription Programming

Wired Telecommunications Carriers

Wireless Telecommunications Carriers (except Satellite)

Component

[Antitrust Division](#)

the cases FTC/DOJ attempted to block to cases with a deal size meeting the HSR threshold, which can be reasonably assumed that they submitted a HSR filing before consummating the merger, but FTC/DOJ did not attempt to block.

I use YouGov's BrandIndex to measure whether a firm has a well-recognized brand. YouGov tracks brands rather than firms, so brand names are mapped to company names, then matched to SDC base via company names. I use fields of company name, immediate company parent name, and ultimate company parent name. Both steps use an iterative process combining LLM-assisted name matching and manual verification. I clean up matches at the

CUSIP level to make sure the matching is consistent across different company subsidiary and name variations within the same entity.

C Additional Tables and Figures

Table OA1: Descriptive Statistics of Survey Sample

	Percent <i>N</i> = 1,969
<i>Region</i>	
Midwest	19.7
Northeast	16.6
South	41.1
West	22.7
<i>Political Party</i>	
Democrat	35.5
Republican	34.6
Independent	29.2
Other	0.8
<i>Age</i>	
18 to 34	24.7
35 to 54	46.8
55 and above	28.5
<i>Gender</i>	
Male	46.7
Female	53.3
Other	0.1
<i>Race</i>	
White	75.5
Black	13.0
Asian	4.5
Mixed Race	4.8
Other	2.3
<i>Hispanic</i>	
Yes	8.6
No	91.4
<i>Education Level</i>	
Less than high school	0.3
High school	14.9
Some college	25.9
Associate's degree	14.7
Bachelor's degree	30.6
Graduate degree	13.5
<i>Income Level</i>	
Less than 25k	26.3
25k – 50k	25.1
50k – 75k	19.1
75k – 100k	14.1
100k – 150k	9.8
150k – 250k	4.3
250k – 500k	0.9
More than 500k	0.4

Table OA2: Mediation Analysis — Path Coefficients

	(1) Perc. Bigness (M1)	(2) Exp. Price (M2)	(3) Stop (Y)	(4) Stop (Y), total
Branded	0.115*** (0.004)	0.010*** (0.003)	0.003 (0.004)	0.033*** (0.005)
Deal Size (0-1)	0.229*** (0.007)	0.075*** (0.005)	0.057*** (0.006)	0.147*** (0.007)
Same Industry	-0.001 (0.004)	0.037*** (0.004)	0.039*** (0.004)	0.058*** (0.005)
Other Firm Size (0-1)	-0.042*** (0.005)	0.030*** (0.004)	0.044*** (0.005)	0.050*** (0.006)
Perceived Bigness			0.221*** (0.012)	
Expected Price Increase			0.525*** (0.016)	
R-square	0.461	0.468	0.613	0.495
Observations	11814	11812	11812	11814

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table OA3: Mediation Analysis — Decomposition

	Total (X→Y)	Indirect (X→M→Y)	via Bigness (M1)	via Price (M2)	% Mediated
Branded	0.033	0.031	0.025	0.005	0.928
Deal Size	0.147	0.090	0.051	0.040	0.613
Same Industry	0.058	0.019	-0.000	0.019	0.332
Other Firm Size	0.050	0.006	-0.009	0.016	0.126

Figure OA5: FTC Enforcement Actions, Fiscal Years 1996-2024

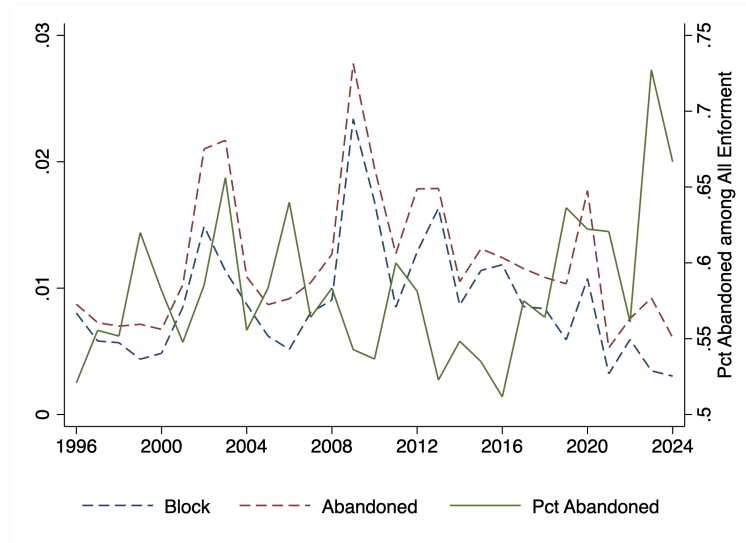


Table OA4: Mediation Analysis — Robustness Check on Decomposition

	(1) Pooled	(2) + Demographics
prop_brand	0.847*** (0.100)	0.817*** (0.119)
propPr_brand	0.131** (0.059)	0.127** (0.058)
prop_dealsize	0.657*** (0.042)	0.638*** (0.038)
propPr_dealsize	0.313*** (0.026)	0.302*** (0.024)
prop_same_ind	0.362*** (0.046)	0.360*** (0.044)
propPr_same_ind	0.383*** (0.044)	0.380*** (0.043)
prop_tgtsize	0.104 (0.069)	0.100 (0.061)
propPr_tgtsize	0.328*** (0.060)	0.310*** (0.057)
N	11814	11808

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table OA5: Mediation Analysis — Controlled Direct Effects

	(1)
cde_brand	0.028*** (0.004)
cde_dealsize	0.108*** (0.006)
cde_same_ind	0.038*** (0.004)
cde_tgtsize	0.035*** (0.005)
N	11812

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Figure OA6: Respondent View on State of US Economy

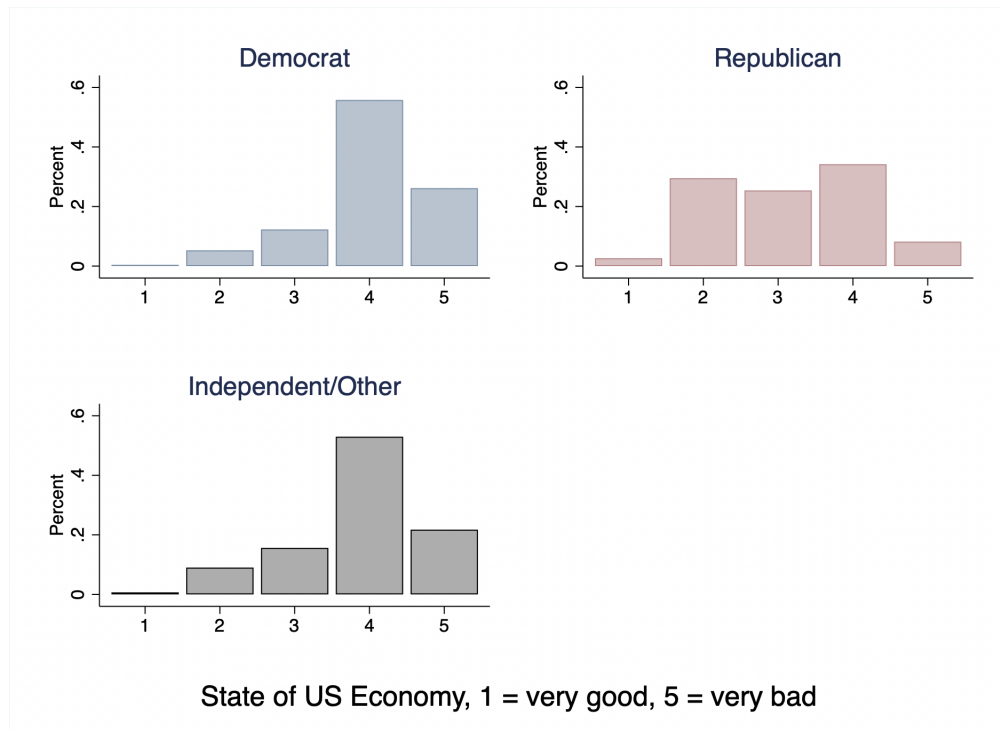


Figure OA7: Respondent View on Trajectory of US Economy

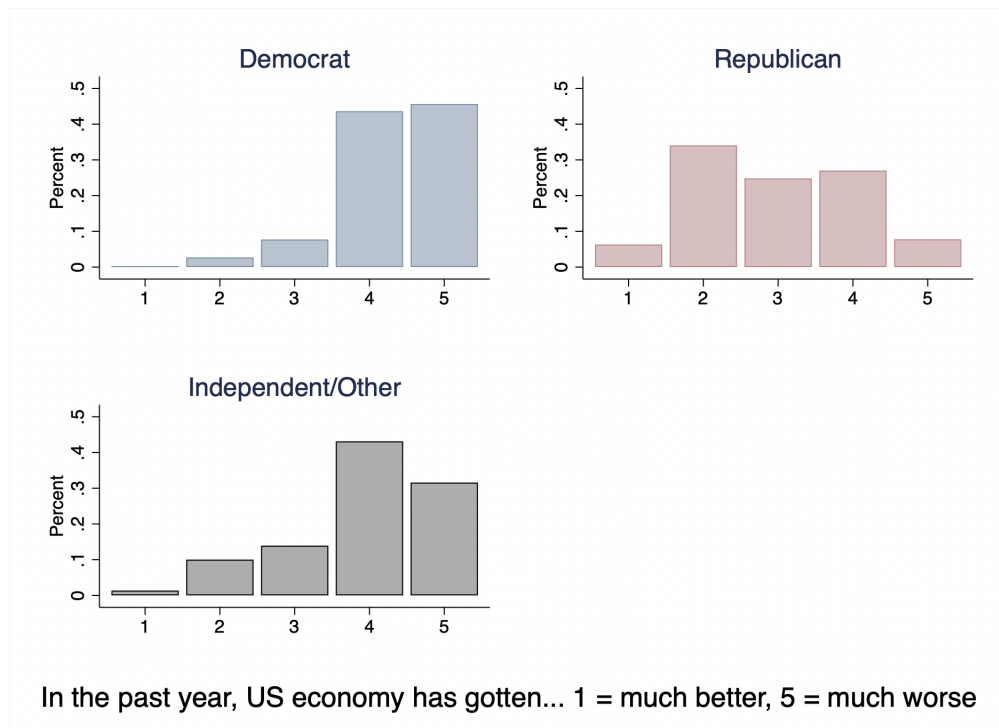


Table OA6: Agencies tend to flag industries with more tracked brands, especially when target is in the same industry

	Ind Flagged (0/1)					
	(1)	(2)	(3)	(4)	(5)	(6)
Avg Deal Size (log)	0.069*** (0.004)	0.071*** (0.004)	0.144*** (0.019)	0.025*** (0.002)	0.060*** (0.004)	0.059*** (0.004)
Acq Brand Quantile 2	0.004 (0.011)	-0.015 (0.014)	0.042 (0.036)	0.006 (0.007)	0.020* (0.010)	
Acq Brand Quantile 3	0.018* (0.011)	-0.052*** (0.012)	0.134*** (0.038)	-0.021*** (0.006)	0.010 (0.010)	
Acq Brand Quantile 4	0.047*** (0.015)	-0.048*** (0.017)	0.311*** (0.065)	-0.037*** (0.008)	0.025* (0.015)	
Tar Brand Quantile 2	-0.019* (0.011)			0.009 (0.006)		-0.007 (0.010)
Tar Brand Quantile 3	0.028*** (0.011)			-0.006 (0.006)		0.039*** (0.010)
Tar Brand Quantile 4	0.059*** (0.011)			-0.000 (0.006)		0.021** (0.010)
Same Industry	0.165*** (0.010)	0.058*** (0.016)			0.164*** (0.010)	0.156*** (0.010)
Acq Brand Quantile 2 X Same Ind		0.067*** (0.024)				
Acq Brand Quantile 3 X Same Ind		0.201*** (0.020)				
Acq Brand Quantile 4 X Same Ind		0.364*** (0.032)				
Subsample			Same Ind	Diff Ind		
Ind FE					Tar Ind FE	Acq Ind FE
R-square	0.326	0.350	0.349	0.047	0.411	0.435
Observations	6381	6381	887	5494	6376	6376

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: All regressions include year FE. All regressions include controls on industry level concentration (defined as the industry HHI is considered “highly concentrated” per the agencies’ Merger Guidelines), Acquiror last 12 months net sales, Target last 12 months net sales. Number of transactions is used as the analytical weight. Same Industry pairs are tagged at the primary 3-digit NAICS code level. Due to BrandIndex’s coverage, regressions in this table is constrained to the period of 2006-2020.

Table OA7: Agencies tend to flag industries with more tracked brands, especially when target is in the same industry

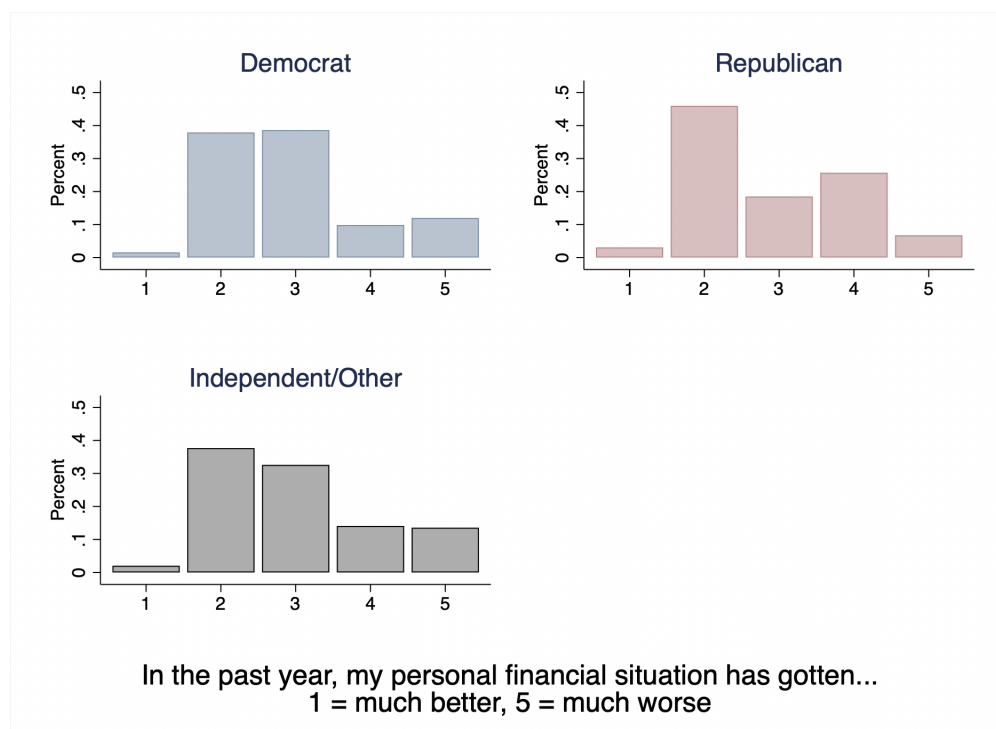
	Ind Flagged (0/1)					
	(1)	(2)	(3)	(4)	(5)	(6)
Avg Deal Size (log)	0.080*** (0.005)	0.072*** (0.005)	0.161*** (0.023)	0.026*** (0.003)	0.062*** (0.005)	0.064*** (0.005)
Acq Brand (log)	0.007 (0.004)	-0.010** (0.004)	0.040*** (0.015)	-0.007*** (0.002)	-0.011*** (0.004)	
Tar Brand (log)	0.016*** (0.004)			-0.000 (0.002)		0.001 (0.004)
Same Industry	0.172*** (0.012)	-0.022 (0.023)			0.031 (0.023)	0.084*** (0.023)
Acq Brand (log) X Same Ind		0.066*** (0.007)			0.048*** (0.007)	
Tar Brand (log) X Same Ind						0.028*** (0.007)
Subsample			Same Ind	Diff Ind	Tar Ind FE	Acq Ind FE
Ind FE						
R-square	0.343	0.345	0.346	0.047	0.429	0.449
Observations	4602	5430	676	3926	5424	5212

Standard errors in parentheses

* p < 0.10, ** p < 0.05, *** p < 0.01

Notes: All regressions include year FE. All regressions include controls on industry level concentration (defined as the industry HHI is considered “highly concentrated” per the agencies’ Merger Guidelines), Acquiror last 12 months net sales, Target last 12 months net sales. Number of transactions is used as the analytical weight. Same Industry pairs are tagged at the primary 3-digit NAICS code level. Due to BrandIndex’s coverage, regressions in this table is constrained to the period of 2006-2020.

Figure OA8: Respondent View on Personal Financial Situation



D Pre-Analysis Plan (PAP)

Pre-analysis Plan for a Survey on Public Opinion of Mergers and Acquisitions

October 14, 2025

1 Introduction

This document outlines a pre-analysis plan for evaluating a survey to be administered through Prolific. It pre-commits the authors to testing the hypotheses listed, using the empirical approach detailed below. This plan has been written prior to any data collection and analysis.

2 Study Design and Procedures

The survey will examine the public perception of mergers and acquisition, and economic well-being. It seeks to understand how an average citizen forms their opinions on the US economy, whether they consider certain mergers and acquisitions (M&A) more relevant or harmful, and whether and under what conditions government interventions are deemed necessary.

Respondents are firstly asked a few questions on their opinions of the economy, both the national and their own pocket economic well-being. They are also asked through which channel to they learn information about the economy, and what factors are the most important to form their opinions.

Respondents are then asked to read a short passage about M&A, and respond to two comprehension-style questions afterwards. The goal of this exercise is to introduce some basic background information regarding M&A regulatory reviews in the US.¹

After the experiment section of the survey (detailed below in the subsection), respondents would answer questions about their immutable traits.

2.1 Experiment

The survey experiment examines factors influencing people’s opinions on firm level transactions as well as their preference on government interventions in these transactions. Respondents are given in total six merger profiles. In each of these profiles, the way the main firm (hereafter, the “acquiror”) is presented would be randomized — they are either branded or not branded. See below for the list of firms and the two options in the randomization pool:

- Mondelez:
 1. Mondelez International, a snack food company
 2. Mondelez International, a snack food company that owns brands such as Oreo, Ritz, and Trident

¹Respondents who do not answer these questions correctly will be dropped from the valid sample; their time will be compensated at the same per-minute rate as other respondents.

- Haleon:
 1. Haleon PLC, a pharmaceutical company
 2. Haleon PLC, a pharmaceutical company that owns brands such as Advil, Sensodyne, and Emergen-C
- Newell:
 1. Newell Brands Inc, a consumer product company
 2. Newell Brands Inc, a consumer product company that owns brands such as Rubbermaid, Yankee Candles, and Sharpie
- Kenvue:
 1. Kenvue Inc, a consumer health and beauty product company
 2. Kenvue Inc, a consumer health and beauty product company that owns brands such as Band-Aid, Tylenol, and Neutrogena
- Early Warning Services:
 1. Early Warning Services, a digital payment service company
 2. Early Warning Services, a digital payment service company that owns and operates Zelle
- Alphabet:
 1. Alphabet, a technology company
 2. Alphabet, a technology company that owns services such as Google and YouTube

These firms and brands are picked and pretested such that the company name standalone is much less well-known than the brands they own.

In addition to the acquiror manipulation, each profile has the following characteristics that are randomly assigned from a pool of values:

- Deal size: how much the transaction is valued
- Other firm industry: signals whether this is a horizontal or vertical merger
- Other firm size: relative size to acquiror

An example profile: *Suppose that Newell Brands Inc, a consumer product company that owns brands such as Rubbermaid, Yankee Candles, and Sharpie, is trying to merge with a similar-sized company in the same industry. The merger is valued at 500 million dollars.*

Respondents are asked for their opinions on the merger, see next section for detailed question wording.

At the end of the section, respondents are asked to do a ranked choice among all six profiles.

After the profile evaluation section, one of the profiles is randomly picked. A government action is randomly assigned at the respondent level to this profile. Respondents are then asked for their confidence in the government agencies, as well as likelihood to re-elect a president that appointed these agency leaders. Lastly, a treatment of government mistake is randomly assigned to half of the respondents, followed by questions asking about their confidence in the government agencies, as well as likelihood to re-elect a president that appointed these agency leaders.

3 Variables and Measurements

3.1 Outcome

Perception of price increase: Do you think this proposed deal would increase or decrease the prices of [products]²? 5-point scale from “Significantly increase prices” to “Significantly decrease prices”.

Perception of bigness: How big of a company do you think [acquiror] is? 5-point scale from “Very small” to “Very large”.

Preference on government action: Do you think the US government should approve or stop this deal? 5-point scale from “Definitely approve” to “Definitely stop”.

Ranked choice: Please rank all 6 deals from most important to investigate further to least important to investigate further by dragging them into order. Outcome will be the order 1 to 6.

Confidence in government agencies: Does this action affect your confidence in the agencies? 5-point scale from “Significantly increase my confidence in FTC/DOJ” to “Significantly decrease my confidence in FTC/DOJ”.

Electoral outcome: Does FTC/DOJ’s decision mentioned above make you more or less likely to support re-electing the president who appointed those agency leaders?³ 5-point scale from “Much more likely” to “Much less likely”.

3.2 Explanatory Variables

Branded: dummy = 1 if the profile uses the branded version of the acquiror firm.

Deal Size: categorical variable with values “50 million dollars”, “100 million dollars”, “200 million dollars”, “500 million dollars”, “over a billion dollars”.

Other Firm Industry: categorical variable with values “a different industry”, “the same industry”.

Other Firm Size: categorical variable with values “bigger”, “similar-sized”, “smaller”.

Government action: dummy = 1 if stop.

Government mistake: dummy = 1 if assigned a treatment of mistake.

The above explanatory variables are randomly assigned. We include controls in some analysis specifications; controls include age, gender, race and ethnicity, income, education, financial asset, general baseline perception on M&A activities (asked prior to any experiment). We may subset data by mix of financial asset or general baseline perception on M&A since these factors could be signals for respondent types.

4 Analysis

R1: how does branding affect public perception of consequences of M&A to prices? R2: how does branding affect public perception of bigness? R3: how does branding affect public preference on government intervention in firms’ M&A activities?

H1.1: branding is proxy for familiarity and visibility to the general public, respondents are more likely to associate branded mergers to higher prices since these are products they have heard of and likely purchased before.

²The exact wording is adjusted by profile, for instance, profiles with Mondelez would say “snack food”. For exact wording, see accompanying document that shows the full questionnaire.

³To avoid/lessen association to current sitting President, I open this question with the following prompt: “In the US, presidents play a direct role in shaping the leadership of FTC and DOJ, by nominating their top officials (e.g., commissioners and assistant attorney generals), subject to Senate confirmation.”

H1.2: respondents do not associate branding with price increases; they evaluate consequences of M&A based on economic factors.

H1.3: respondents have a sense of closeness to the brands, and associate familiar branding with positive outlook of firm behaviors, such that they associate branded mergers to lower prices.

H2.1: respondents are more likely to think branded firms are bigger.

H2.2: respondents do not associate branding with bigness; they evaluate bigness based on other cues.

H2.3: respondents expect big firms to operate under elevated or corporate parent names, and will associate brands with smaller firm sizes.

H3.1.1: respondents prefer more government intervention in branded mergers because they associate branding with higher prices or bigger firms. Branded mergers signal more harmful consequences.

H3.1.2: respondents do not prefer more government intervention in branded mergers even if they associate branding with higher prices or bigger firms. Respondents do not necessarily want government intervention in market, even when certain mergers are considered more harmful.

H3.2.1: respondents prefer more government intervention in branded mergers outside of reasons related to price increases and bigness. Branding captures signals other than expectations on prices and firm sizes.

H3.2.2: respondents do not consider branding a signal for more harmful merger and do not prefer more government intervention in branded mergers.

H3.3: respondents prefer less government intervention in branded mergers. They could have a positive association with branded firms behaving in a better way or they could think the branded firm is smaller.

We will first analyze effect of branding separately on perceptions of price, firm size, and government intervention. We keep the options of also exploring whether branding only affects preferences for government intervention through its effects on price or size perceptions.

Main Specifications:

$$Price_{ij} = \alpha_1 + \beta_1 Brand_{ij} + \gamma_1 X_{ij} + \varepsilon_{ij}$$

$$Bigness_{ij} = \alpha_2 + \beta_2 Brand_{ij} + \gamma_2 X_{ij} + \varepsilon_{ij}$$

$$Stop_{ij} = \alpha_3 + \beta_3 Brand_{ij} + \gamma_3 X_{ij} + \varepsilon_{ij}$$

where respondent i evaluates profiles j , X is the vector containing all the other attribute values. We will also show coefficient vector γ as we answer R4: what factors (in the space of deal size, other company size, horizontal versus vertical merger) affect respondents' judgments on changes in prices, bigness, and government intervention.

We will show distribution of respondent ranked choices and run rank-ordered logit or similar type of analysis.

R5: how do respondents evaluate government actions that are congruent or incongruent to their own judgments?

$$Y_{ij} = \alpha + \beta_1 Congruence_{ij} + \beta_2 Incongruence_{ij} + \varepsilon_{ij}$$

$$Y_{ij} = \alpha + \beta_0 Stop_i + \beta_1 Congruence_{ij} + \beta_2 Incongruence_{ij} + \beta_3 Congruence_{ij} X Stop_i + \beta_4 Incongruence_{ij} X Stop_i + \varepsilon_{ij}$$

where $Stop$ is a dummy where randomization assigns a government action of "Stop", and profile j is randomly picked for follow-up questions. If the government action matches respondent responses for profile j , then it's considered "congruence"; if the government action is the opposite to respondent responses, then it's

considered “incongruence”. Baseline group is where respondent selected “Neither approve nor stop” for profile j. Outcome variable is either confidence in government agencies or likelihood to re-elect a president.

H5.1: respondents are more likely to have higher confidence in government for congruent choices.

H5.2: respondents are more likely to have lower confidence in government for incongruent choices.

H5.3: respondents have a revealed preference for certain kind of government actions (i.e. stop or approve).

We may subset data by government action, especially if the pooled results suggest divergent types of responses.

R6: how do respondents react to government mistakes?

$$Y_{ij} = \alpha + \beta_1 Mistake_{ij} + \varepsilon_{ij}$$

$$Y_{ij} = \alpha + \beta_0 Stop_i + \beta_1 Mistake_{ij} + \beta_2 Mistake_{ij} X Stop_i + \varepsilon_{ij}$$

where Mistake is a dummy where randomization assigns a treatment of government mistake. Outcome variable is either confidence in government agencies or likelihood to re-elect a president.

H6.1: respondents are more likely to have lower confidence in government if the government makes a mistake.

H6.2: respondents have a revealed preference for certain kind of government actions (i.e. stop or approve).

We may subset data by government action.

In general, while analyzing the data, We reserve the option to subset data by respondent party ID, respondent financial asset mix, respondent pre-treatment baseline opinion on M&A, individual merger profile or a subset of merger profiles.

When multiple profiles are present, we will cluster standard errors by respondent.